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PT Telekomunikasi Indonesia Tbk. (TLKM.IJ)

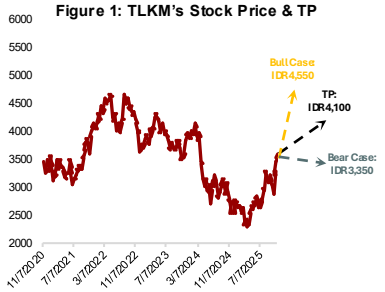
Connecting Growth To Returns

RECOMMENDATION
BUY
Upside 18%
Target Price: IDR4,100

2 January 2026

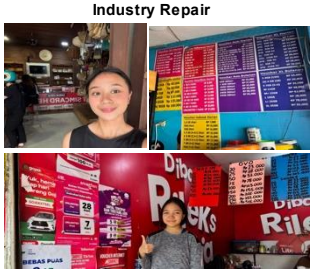
MARKET OVERVIEW	
Market Cap. (Bn)	343,746
Shares Outstanding (Bn)	99.06
Current Price (IDR)	3,470
52 Week Range (IDR)	2,050/3,720
EV/EBITDA (ttm)	6.0
Target Price (IDR)	4,100
Upside (%)	18%

Figure 1: TLKM's Stock Price & TP



Source: Refinitiv, TeamAnalysis

Figure 2: On The Ground Research on MNO's Industry Repair



To validate our research, we conducted an on-the-ground (OTG) survey across multiple SIM card and prepaid credit outlets.

Key Takeaways:

- **Low-end price** competition has structurally **exited** the market.
- **Starter-pack pricing** has **normalized** upward.
- **Promotional** intensity has materially **declined**.

Source: Team Analysis

Figure 3: Interview with Local ISPs



We interviewed local ISPs to obtain ground-level perspectives on the competitive landscape and assess the industry's reception of TLKM's Infranexia initiative.

Key Takeaways:

- **ISPs are shifting** towards **asset-light models.**
- **Customers preference** towards **FTTH remains superior** to FWA.

Source: Team Analysis

Eternals Team Profile

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INVESTMENT HIGHLIGHT

We initiate our **BUY** recommendation on TLKM with a target price of IDR 4,100/sh, offering a 18% potential upside from the closing price of IDR 3,470 on 2 Jan'26, and implies 5.7x FY26F EV/EBITDA (+1SD of its 5Y forward EV/EBITDA band). Our target price is derived using a Sum-of-the-Parts (SOTP) valuation of 1) Connectivity Services, 2) Fiber Infrastructure, 3) Tower Infrastructure, 4) Data Center, and 5) Other Businesses. As a sanity check, we conduct a relative valuation against peer companies. We derive our call confidently based on three main catalysts:

Favorable Industry Backdrop Sets Up A Mobile Business Turnaround

We expect TLKM's mobile revenue to reverse its historical stagnation (-1.0% CAGR FY19-24) and deliver a robust 4.5% CAGR to c.IDR 104tn by FY30F, contributing c.56% of group revenue. This turnaround is underpinned by:

- **Triopoly End-Game Drives Price Rationalization.** As the market settles into a global-norm triopoly, players are moving away from price wars and market-share battles. TLKM's post-transformation management is actively committed to ending aggressive pricing disruptions, aligned with Danantara's primary focus on profitability and shareholder returns. On the other hand, we see limited incentives for EXCL and ISAT to continue price wars, with EXCL remains focused on post-merger integration while ISAT continues its on-going network expansion. This easing competitive intensity paves the way for price rationalization, allowing TLKM's data yields to recover to 3.4 IDR/MB by FY26–27F (vs. 3.1 IDR/MB in 2Q25), supporting ARPU recovery and margin expansion.
- **Growing Data Demand Absorbs Hikes.** Crucially, higher data yields are not expected to suppress usage, backed by 1) recovery in purchasing power, 2) deepening digital lifestyles, and 3) favorable data-driven demographics. With ARPU-to-GDP at just c.0.6% (well below regional peers), affordability remains intact, supporting c.1GB annual usage growth to 17.3GB/month by FY30F (vs. 10.7GB in FY24). Furthermore, our OTG consumer survey indicates a clear shift toward lower price sensitivity and greater emphasis on network quality and reliability—an attribute where TLKM consistently leads. This allows TLKM to monetize both data usage and data yield simultaneously, driving sustainable ARPU growth.

Fiber Monetization Creates A New High-Margin Cash Engine

We believe TLKM is well positioned to capture FBB growth opportunity by monetizing its nationwide fiber network through Infranexia, an open-access platform leasing infrastructure to broadband providers. Given its high operating leverage, incremental revenue is generated at minimal incremental cost. Hence, we expect Infranexia to deliver IDR9.9tn in external revenue and IDR7.6tn in external EBITDA by FY30F (c.6%/8% of group totals), ultimately expanding TLKM's EBITDA margins by c.130bps.

- **Long Ahead FBB Runway.** Indonesia's Fixed Broadband (FBB) penetration sits at a mere 22.9%, far below the regional median of c.59%. We expect penetration to double to c.47%, translated to 36mn home-connects (HC), driven by 1) lower prices from intensifying Internet Service Providers (ISPs) competition, 2) superior cost-per-GB economics vs. mobile data, and 3) rising household wallet sizes. The resulting demand gap (c.19mn HC) represents a large growth opportunity for retail broadband providers.
- **Asset-Light ISPs Fuel Fiber Expansion.** To capture this demand, we see a strong economic rationale for the 1,000+ ISPs to lease Infranexia's network instead of building their own fiber networks due to 1) high rollout capex, 2) long deployment timelines, 3) TLKM's unrivaled coverage with c.28mn ready home-passes, providing immediate vast access. We forecast Infranexia will capture 7.6mn new connections (+25% indirect market share) by FY30F simply by becoming the "backbone" for the industry's expansion.

New Expert-Filled Management Favors Profitability & Shareholder Returns

TLKM stands at a clear inflection point under a newly professionalized management team (67% non-SOE), shifting decisively toward shareholder returns. We expect disciplined capital allocation to drive strong FCF generation and ROIC improvement going forward. At the same time, management initiatives—through streamlining and minority stake sales—will create incremental margin upside and pave the way for potential special dividends.

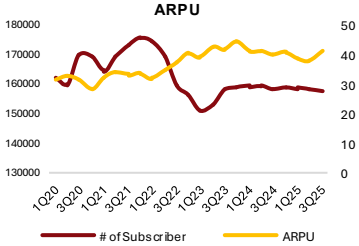
- **Strategic Pivot Toward Returns and Cash Generation.** A new expert-led board is steering a strategic pivot toward capital discipline and operational efficiency. By refocusing capex solely on high-IRR core business, alongside stronger earnings momentum, we forecast TLKM to deliver an 10.5% FCF CAGR and a c.460bps ROIC expansion to 17.3% by FY30F (vs. 12.7% in FY25E). Moreover, we expect the streamlining initiative, especially divestment program, to serve as an additional direct upside catalyst, generating 1) IDR6.6tn in annual cost savings, which should 2) lift NPM from 17.8% to 18.9% and 3) boost ROE from 18.3% to 21.6%.
- **A Clear Path to Elevated Shareholder Returns.** We see a two-pronged approach to capital returns. First, the structurally improved cash-generation enabling a sustainable 90% payout ratio, implying a 5Y forecasted average dividend yield of 7.2%. Second, we estimate TLKM could crystallize c.IDR 59.4tn in cash proceeds by FY26F from: 1) the 30% stake sale in Infranexia (IDR 36.6tn), 2) the 30% stake sale in NeutraDC (IDR 4.2tn), and 3) divestments settled in FY26F (IDR 15.1tn), implying a 15.4% special dividend yield. Combined with the base yield, this translates into a total potential dividend yield of 21.8% by FY27F.

Key Financial Figures

Source: Eternals Estimate

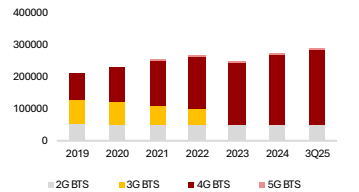
IDR Bn, unless stated	FY20	FY21	FY22	FY23	FY24	FY25E	FY26F	FY27F	FY28F	FY29F	FY30F
Revenue	136,462	143,210	147,306	149,216	149,967	147,436	156,002	164,554	170,261	176,219	181,880
EBITDA	72,080	75,723	78,992	77,579	75,029	72,283	78,624	85,025	86,701	90,602	94,312
EBIT	43,188	43,907	45,737	44,916	42,386	39,123	44,583	49,962	50,694	53,648	56,421
Net Income	20,804	24,760	20,753	24,560	23,649	21,529	24,668	27,936	28,605	30,566	32,452
EPS (Full IDR)	210	250	209	248	239	217	249	282	289	309	328
ROE (%)	17.2%	15.9%	18.3%	16.4%	14.4%	13.2%	14.9%	16.6%	16.7%	17.5%	18.3%
EV/EBITDA (x)	5.0	5.0	5.8	5.5	4.8	5.3	4.9	4.5	4.4	4.2	4.0

Figure 4: TLKM # of Subscriber and ARPU



Source: Company Data

Figure 5: TLKM BTS Network



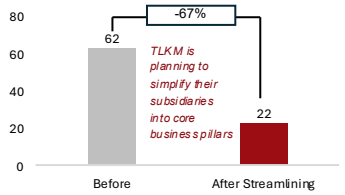
Source: Company Data

Figure 6: Network Penetration of TLKM



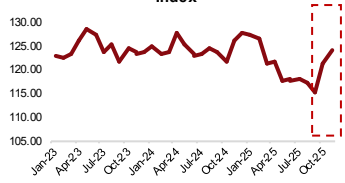
Source: Opensignal

Figure 7: TLKM Streamlining Initiative



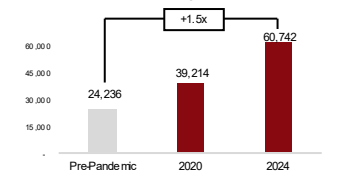
Source: Company Data

Figure 8: Indonesia Consumer Confidence Index



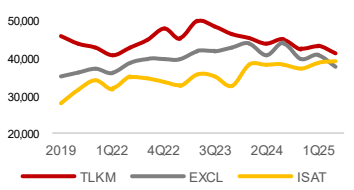
Source: BPS

Figure 9: Monthly Internet Expenditure Per Capita



Source: BPS

Figure 10: TLKM and Peers Reported ARPU



Source: Company Data

BUSINESS DESCRIPTION

PT Telkom Indonesia (Persero) Tbk (TLKM IJ) is Indonesia's biggest telecommunications operator that serves internet needs and network infrastructure across the country. Established in 1991 as a state-owned limited liability company, TLKM is majority-owned by BPI Danantara (52.1%), with the remaining 47.9% held by public investors and dual-listed on the Indonesia Stock Exchange (IDX: TLKM) and New York Stock Exchange (NYSE: TLK) since 1995. The company serves over 158mn mobile subscribers and 11.3mn fixed broadband users, underpinned by an extensive network of roughly 177,443 km fiber backbone, c.292K+ BTS (cell sites), about c.45,300 telecom towers, and 35 data centers abroad and domestically.

Business Segments and Verticals

TLKM's business model is segmented into four key areas: **1) Mobile**, led by Telkomsel, offering cellular voice, data, and digital services; **2) Consumer**, encompassing fixed broadband via IndiHome and Orbit; **3) Enterprise**, providing ICT solutions including cloud computing, cybersecurity, IoT, and digital transformation to corporates and government clients; and **4) Wholesale & Infrastructure**, managing towers (via Mitratel with ~38,000 sites), satellites, fiber networks, and data centers for recurring leasing revenue, with revenue contribution still dominated by Telkomsel at 75.6%, while Infrastructure and other segments contribute the remaining 24.4%.

Company Strategy

Structural Transformation into a Lean Digital Holding Company. TLKM is aggressively streamlining its structure by consolidating overlapping units, divesting non-core assets, and cutting 67% of its subsidiaries by 2027/28. The group is shifting from an operational to a strategic holding and reorganizing remaining entities into five core pillars: B2C, B2B Infrastructure, B2B International, B2B IT Services, and Others. This transformation sharpens management focus, removes inefficiencies, strengthens governance, and positions TLKM as a leading digital ecosystem player rather than a legacy telco.

Asset Unlocking and Monetization for Value Creation. TLKM is executing Infranexia Stage-1, spinning off ~56% of its network infrastructure (mainly passive fiber) into a new neutral wholesale FiberCo, PT Telkom Infrastruktur Indonesia (TIF), operates under the name Infranexia. By separating these assets and selling a minority stake to strategic/financial investors, management aims to re-rate the fiber business from telco to global digital-infrastructure multiples of 6-14× EV/EBITDA.

Fostering Sustainable Mobile Industry Growth through Yield Optimization. Through Telkomsel, TLKM is prioritizing ARPU uplift and market share stabilization to create a more sustainable mobile ecosystem. The strategy focuses on product and portfolio rationalization, right pricing, and targeted promotions to improve customer stickiness. This is reflected in the removal of low data yield products, driving an 11.2% QoQ increase in data yield in 3Q25.

Danantara: A Strategic Catalyst for TLKM

A Shift Toward Value Creation. We view Danantara as the strategic capital allocator and value orchestrator across Indonesia's SOEs, operating distinctly from the Ministry of SOEs by prioritizing commercial discipline, capital efficiency, and shareholder value rather than administrative oversight. While the Ministry of SOEs focuses on policy alignment, governance compliance, and public-service mandates, Danantara functions as an investment-style holding entity that evaluates SOEs through return-on-capital and balance-sheet optimization lenses (Appendix 15).

Capital Discipline Catalyst. Danantara's oversight accelerates TLKM's transformation by reinforcing capital discipline, supporting asset monetization initiatives, and strengthening shareholder-aligned capital management. This owner-layer discipline complements TLKM's internal restructuring, as reflected in the increasing professionalization of management and governance (67% professional at the group level and 88% at the Board), alongside ongoing streamlining initiatives to divest non-core and structurally loss-making subsidiaries. Within this framework, capital allocation is increasingly oriented toward improving returns and balance-sheet efficiency, with asset monetization and efficiency gains creating headroom for enhanced shareholder returns, including the potential for special dividends. This focus was reiterated in our discussion with Danantara (Appendix 1), which underscored capital discipline and monetization as key ownership priorities.

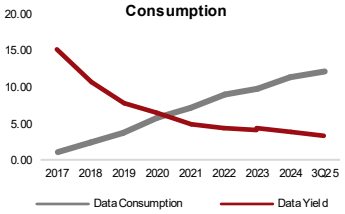
INDUSTRY ANALYSIS & COMPETITIVE POSITIONING

Purchasing Power Is Recovering

Spendings Are Back Online. We see strengthening purchasing power leading into year-end 2025 (Figure 8) , driven by three catalysts: **1)** Synergized policy support, where a pro-growth fiscal expansion to IDR249.3tn (2025F) in social spending (+30% YoY) (Appendix 17) converges with 125 bps of monetary easing to inject liquidity and lower debt burdens; **2)** structural labor strength, defined by a decade-low unemployment rate of 4.76% and rising formalization, securing income visibility necessary for consistent spending; and **3)** double breadwinner effect, driven by dual earners climbing to ~62% (Appendix 13)—a structural shift that creates thicker household wallet buffer, highly favorable for the adoption of shared home digital services like Fixed Broadband (FBB). Given the administration's ambition to secure the 2026 GDP growth target (BI: 4.9–5.7%), we expect sustained extra measures to stimulate private consumption (~53% of GDP) in creating a durable runway for telco monetization.

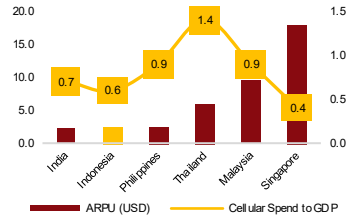
Connectivity is the Non-Negotiable Utility. Wallet share for communication has remained remarkably stable at ~5.8-6.2% of monthly expenditure over the last five years despite macro volatility, proving the sector's resilience. This stability implies a powerful "wage-beta": with the government targeting 8% wage growth, telecom spending is set to

Figure 11: Indonesia Data Yield vs Data Consumption



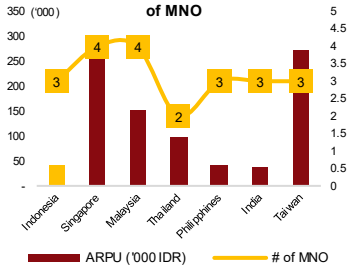
Source: Company data

Figure 12: Asia Countries ARPU to GDP



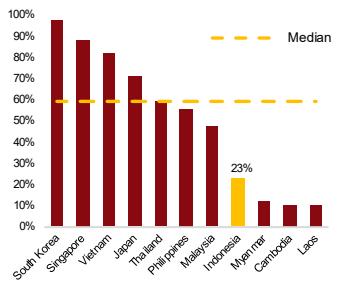
Source: Company data

Figure 13: Asian Countries ARPU & Number of MNO



Source: Multiple company data

Figure 14: Regional FBB Penetration



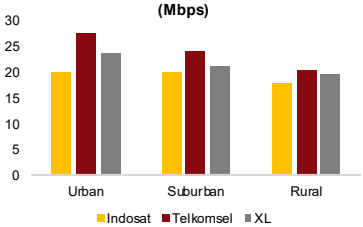
Source: Multiple company data

Figure 15: FTTH vs Mobile Effective Cost/GB Analysis

Metric	FTTH (Fixed Broadband)	Mobile Data
Monthly traffic per subscriber (GB)	~522GB per month	~12 GB per month
Effective price plan (IDR/month)	IDR230,000 (Indihome 50Mbps Internet)	IDR42,000 (Telkomsel Super Seru 12GB)
Effective cost per GB (IDR)	IDR441	IDR3,500

Source: Team Analysis

Figure 16: Download Speed Comparison (Mbps)



Source: OpenSignal 2025 Survey

mechanically expand even without requiring aggressive behavior modification. Furthermore, monthly internet expenditure per capita has surged +55% since the 2020 pandemic peak to IDR 60.7k in 2024 (Figure 8), proving that demand for data has continued to compound aggressively. For TLKM, this structural stickiness creates a defensive financial floor going forward, ensuring that the top-line remains resilient while the upside from purchasing power recovery flows directly to the bottom-line.

Mobile Segment: Structural Shift Toward a Rational Triopoly

Sustained Growth in Mobile Data Consumption. In our view, the upward trend in mobile data consumption will continue to accelerate, driven by: **1)** Indonesia's increasingly digital lifestyle (e.g. social media, short-form videos, gaming, AI tools, and cloud-based applications), with Indonesia being one of the highest usage rates for Instagram and TikTok globally, averaging 45 hours per month on these platforms. **2)** Favorable demographic factors, as c.70% of the population is aged 15-50 years, a group with significantly higher screen time, further reflected in the national average of 7 hours and 38 minutes per day.

Market Consolidation into a Healthier Triopoly Structure. We believe the ongoing consolidation in Indonesia's mobile sector, culminating in the recent EXCL-Smartfren merger, has cemented a mature triopoly market with TLKM (c.46% subscriber share), ISAT (c.29%), and EXCL (c.25%). This structure reduces excessive competition and promotes pricing discipline, as evidenced in Indonesia's 2021 Indosat-Tri merger, and similar experiences in India and the Philippines where ARPU recovered meaningfully within 1-2 years post-consolidation (Appendix 16). With subscriber growth largely exhausted and balance sheet priorities post-merger (e.g., integration costs and network investments), we believe that aggressive pricing becomes less attractive. We expect this catalyst to trigger ARPU uplift across players in the next 1-2 years, fostering a more sustainable industry environment.

Ongoing Market Repair through Pricing Rationalization. Indonesia's cellular spend as a percentage of GDP remains among the lowest in SEA peers at c.0.6%, indicating substantial room for normalized pricing without significantly impacting affordability or demand. Since 2Q25, all three major MNOs have begun rationalizing package prices, including higher starter pack costs and the elimination of low-yield quota bundles from cheap SIM cards, marking a shift toward healthier market conduct. This is further supported by our mobile package price tracker, which shows a sustained increase in data yields from August to December (Appendix 24). Going forward, we view this as a net positive for the industry, allowing operators to focus on enhancing network quality, customer experience, and value-added services rather than destructive pricing wars. This is evidenced by sequential improvements in data yields and ARPU in 3Q25 across TLKM, ISAT, and EXCL following the absorption of legacy low-value packs.

Fiber Rewrites Indonesia's Broadband Playbook

FBB Market Set for Secular Doubling. We believe Indonesia's fixed-broadband penetration is positioned to double to c.47% (vs. 22.9% in FY24), translating to c.36mn HC (vs. c.17mn in FY24), supported by three key catalysts: **1)** Intensifying ISP competition that continues to pull entry pricing lower (–33.8% YoY), with entry-tier plans now starting from ~IDR170k (Eznet); **2)** FTTH offers an approximately 8x cost advantage versus mobile data (Figure 15)—average FTTH usage reaches ~522 GB/month at ~IDR441 per GB, (vs. ~12 GB/month on mobile at ~IDR3,500/GB); and **3)** thicker wallet size adoption, making FBB increasingly affordable for mass-market adoption. This also supported by our analysis showing sizeable addressable market with c.40mn HH averaging ~IDR250k/month in telecom spend, highlighting a wide consumer base with sufficient spending capacity to sustain FBB expansion.

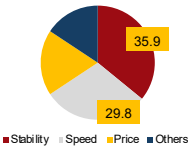
The Fiber Playbook. Indonesia's FBB market is highly fragmented, with 1,248 ISPs (Komdigi, 2024) duplicating capital-intensive last-mile networks, resulting in inefficient competition and sustained ARPU pressure. Against this backdrop, we see that Indonesia fiber playbook is shifting toward an asset-light centered on open-access FiberCo model, supported by **1)** a large addressable market, as c.79% of ISPs lack sufficient last-mile scale, **2)** multi-tenant monetization improves asset utilization and structurally lifts ROE as our analysis indicates open access lifts TLKM's FY30F ROE by 2.7% (18.3% vs. 15.1%), and **3)** offers more stable infrastructure-like cash flows, with global InfraCo benchmarks trading at c.6–14x EV/EBITDA, implying a valuation premium to retail-heavy telcos. As fragmentation has pressured IndiHome's market share (-21% since FY19) and ARPU (-14.9% YoY in 3Q25), we view leveraging Infranexia as the more rational strategy for TLKM to monetize fiber growth, as market share erosion is inevitable regardless of open-access adoption.

The Engine for Value Unlock. Infranexia Open Access is a game changer for TLKM because it unlocks a far broader monetization than a retail-only model. Leasing from Infranexia is structurally more attractive for ISPs than building their own FTTH networks due to **1)** high capex barriers as replicating nationwide FTTH requires substantial upfront investment that most ISPs cannot afford, **2)** long deployment timelines, with network rollout typically taking 6-18 months, delaying market entry and subscriber acquisition, and **3)** immediate access to scale, as Infranexia provides reach to ~28mn serviceable homes, enabling ISPs to scale new connections without incremental build-out. With these ISPs onboard, TLKM captures industry-wide FBB growth through expanding wholesale volumes, underpinning higher network utilization while generating cash at lower incremental cost.

Competitive Analysis

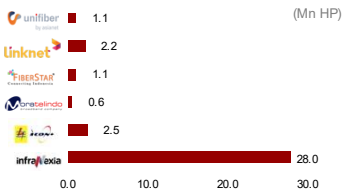
Superior Leadership in Indonesia's Mobile Sector. We believe TLKM will continue to lead Indonesia's mobile sector, underpinned by Telkomsel's unrivaled nationwide infrastructure. Its network spans from the sky above to the sea below, comprising c.179,000 km of domestic and international fiber, over 250,000 BTS, 45,300 towers, 35 data centers, and 42.2 Gbps of satellite capacity. This comprehensive asset base translates into three key advantages. **1)** Superior reach and reliability. Telkomsel maintains the strongest coverage, particularly in remote and outermost regions where competitors lag. This dominance supports stronger pricing power ex-Java, where limited competition enables higher data yields, reflected in TLKM's c.30% data-yield premium versus peers. **2)** Performance-led leadership. Beyond scale, TLKM consistently delivers superior user experience across critical quality metrics, including download speed and gaming performance. This leadership is evident across urban, suburban, and rural areas (Figure 16), reinforcing its premium positioning. **3)** Structurally higher margins. Vertical integration across network assets enables meaningful cost efficiencies, translating into a clear EBITDA margin advantage (50% vs. 37% for peers in FY24). Our proprietary

Figure 17: ISP Selection Drivers Based on Field Survey Results (n = 423) (%)



Source: Field Survey, Team Analysis

Figure 18: Homepass Inventory Comparison



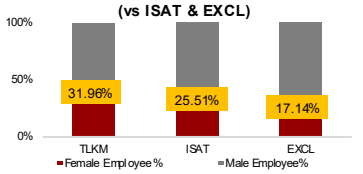
Source: Company Data

Figure 19: GHG Emission

Emissions (tCO_2e)	FY22	FY23	FY24
Scope 1	93,730	83,730	82,090
Scope 2	1,919,580	1,972,910	2,028,370
Scope 3	284,020	333,980	307,020
Total	**2,297,330**	**2,390,620**	**2,417,480**

Source: Company Data

Figure 20: % of Female Employee (vs ISAT & EXCL)



Source: Company Data

Figure 21: TLKM G20 Scorecard

A. RIGHT OF SHAREHOLDERS	**18/20**
Basic Shareholder Rights	1/1
Decide concerning fundamental corporate changes	3/3
Participate in and vote in general shareholder meetings	14/15
Efficient and transparant markets for corporate control	0/1
Facilitation of ownership rights by all shareholders	1/1
B. EQUITABLE TREATMENT OF SHAREHOLDERS	**15/15**
Shares and voting rights	2/2
Notice of AGM	5/5
Prohibition of insider trading and abusive self-dealing	2/2
Related party transactions by directors	4/4
Protection of minority shareholders from abusive actions	2/2
C. ROLE OF STAKEHOLDERS	**12/13**
The rights of stakeholders	6/7
Effective redress to stakeholders for violation their rights	1/1
Mechanisms for employee participation	3/3
Stakeholders' freedom to communicate concerns	2/2
D. TRANSPARENCY AND DISCLOSURE	**30/32**
Transparant ownership structure	5/5
Quality of annual report	7/8
Disclosure of related party transactions (RPT)	1/2
Disclosure of trading by Directors and Commisioners	1/1
External auditor and auditor report	2/2
Medium of communications	4/4
Timely filing/release of annual/financial reports	3/3
Company website	6/6
Investor relations	1/1
E. BOARD OF DIRECTORS	**60/65**
Board duties and responsibilities	5/6
Board structure	21/24
Board Processes	21/22
People on the Board	6/6
Board Performance	7/7
WEIGHTED SCORE	**92.7**

Source: Team Analysis

survey further indicates that network quality is the primary determinant in SIM selection, with TLKM emerging as the preferred operator when users consider switching. This supports the sustainability of its premium data yields in a more rational competitive landscape while reducing churn risk.

The Inescapable "Toll Road" for Broadband Expansion. We view Infranexia as the emerging dominant wholesale consolidator underpinned by its unrivaled network density. Infranexia owns the largest monetizable open-access FTTH network in Indonesia, providing ISPs direct access to c.28mn nationwide homepasses, a massive 11x scale advantage versus the closest competitor (Figure 18). This scale materially compresses ISP time-to-market while eliminating the need for duplicative last-mile capex. Our field survey indicates that network stability and speed are the primary drivers of ISP selection (Figure 17), reinforcing quality as the core benchmark in home internet services. This aligns with Infranexia's operational advantage, with 97% SLA supported by **1)** end-to-end managed services, **2)** disciplined infrastructure maintenance, and **3)** continuous network monitoring that ensure reliable performance with bandwidth capacity of up to 100 Gbps making Infranexia is well positioned to support connectivity demand at scale.

FTTH Remains the Structural Winner. At the technology level, FTTH continues to consolidate its position as the long-term gold standard for fixed broadband, delivering ~65-75% lower latency and ~3x higher throughput stability versus FWA alternatives (Appendix 18). Our expert interviews and field survey with ISPs suggest FTTH demand will continue to expand structurally, while FWA growth remains largely complementary, addressing mobility and last-mile gaps rather than substituting fiber. This mirrors global precedents such as the United States, where ~90% of the population has access to gigabit fiber and FWA represents only ~7% of fixed broadband subscrnetwork allows it to capture iptions (Cyber Media, 2025). Against this backdrop, Infranexia's extensive ~500,000 km fiber majority of incremental wholesale demand and positions it as the essential infrastructure layer supporting Indonesia's next phase of digital growth.

ENVIRONMENTAL, SOCIAL, GOVERNANCE

We assess TLKM, ISAT, and EXCL's ESG performance using a customized framework that adapts MSCI and other global scorecards into criteria tailored specifically for the telecommunications industry. This adjusted approach allows us to evaluate issues that are more material for telcos (e.g. network energy efficiency, data-privacy governance, infrastructure circularity, and workforce digital readiness). Under this framework, TLKM achieves the strongest overall score, outperforming ISAT and EXCL on both governance quality and social-impact effectiveness (Appendix 25).

Environment Pillar

Curbing Emissions Through Renewables and Efficiency. TLKM's Scope 2 emissions rose 2.8% YoY in 2024, caused by addition of 3,531 new BTS sites, which increased electricity consumption. This uptick partially reversed the 6% reduction achieved in 2023 when total power use fell to 1.96 TWh due to efficiency programs. Despite the increase, TLKM is accelerating its decarbonization efforts, expanding renewable use and efficiency measures to curb electricity-related emissions. TLKM now operates 274 solar BTS (plus one micro-hydro unit) generating ~9,559 GJ of clean energy in 2024, reducing dependence on grid power. NeutraDC is also developing green hyperscale data centers with lower PUE, advanced cooling, and renewable-energy partnerships. Together, these initiatives reflect a clear, strong commitment to lowering Scope 2 intensity going forward.

Driving Circularity Through Fiber Cable Reuse and Recycling. TLKM is proactively managing fiber optic cable waste to mitigate environmental risks in its leasing operations. Under Telkom's GoZero initiative, the Group targets diverting ≥70% of fiber optic cable waste from landfills by 2030. By 2024, Telkom Infra had already diverted c.80% of total fiber cable waste from final disposal through reuse and recycling measures. This was achieved via partnerships with licensed recycling vendors (e.g., Alfa-spark, Haidong) to repurpose retired cables instead of landfilling. These efforts directly address environmental concerns tied to Telkom's infrastructure leasing model – where TLKM leases network capacity to ISPs – and reinforce the company's ESG commitments in tandem with its growth in fiber wholesale.

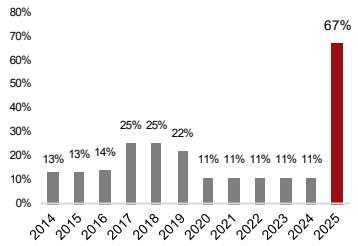
Social Pillar

Best-in-Class Human Capital Development and Gender Diversity Among Indonesian Telcos. TLKM also demonstrates strong commitment to human capital development and community impact, cultivating a skilled workforce that underpins its operational efficiency and innovation. With 4,480 digital talents comprising 20.6% of total employees by 2024, TLKM invests heavily in competency enhancement through e-learning, certifications, scholarships like the Great People Scholarship Program (GPSP) for overseas master's and doctoral studies, and the Digital Talent Readiness program emphasizing digital mindset and technical skills. Inclusive practices include hiring employees with disabilities across roles like call centers and IT, providing accessibility facilities, customized training, and no gender pay gap in remuneration. TLKM leads its peers in gender diversity, with 31.9% female employees compared to ISAT's 25.5% and EXCL's 17%, and actively promotes female leadership through targets for managerial representation and initiatives like Srikandi Telkom Group webinars (e.g., "Balancing Dual Roles in the Digital Era"). This leadership is also evident at the board level, where women comprise 23.5% of TLKM's BOD & BOC (vs. ISAT's 3.7% and EXCL's 6.67%), highlighting stronger governance diversity. Beyond internal, community impact extends via TJSL's education and economic pillars, empowering over millions through digital learning schools, cyber awareness, and SME digitization.

Governance Pillar

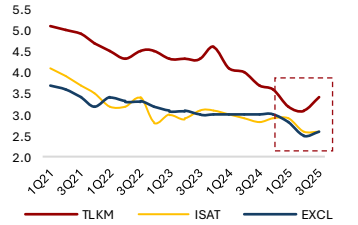
Recent Management Changes Bolster Professional Governance at TLKM. TLKM has undergone a significant leadership transformation, with 8 out of 9 BOD members bringing deep expertise in their respective fields and substantial exposure to the telecommunications industry. Notably, President Director Dian Siswarini contributes a decade of proven leadership as CEO of PT XL Axiata Tbk (EXCL) from 2015 to 2025. This marks the highest proportion of private-sector professionals on the board in the company's 20-year history (67%), far exceeding SOE peers like Pertamina (38%) or Bank BRI (8%). We believe this shift is highly positive for TLKM, as the new professional and experienced management team significantly strengthens execution certainty across key strategic initiatives, including opex and capex efficiency programs and the ongoing fiber asset spin-off.

Figure 22: Historical % of Professional BOD (2014-2025)



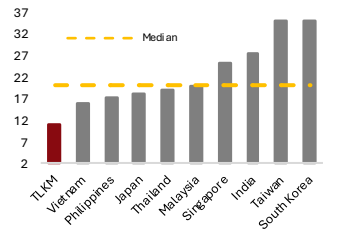
Source: Bloomberg, Team Analysis

Figure 23 Industry Data Yield



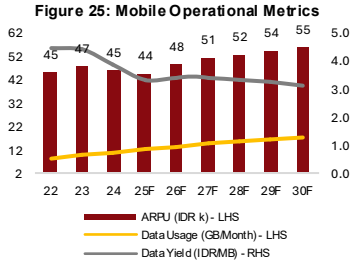
Source: Company Data, Team Analysis

Figure 24: Data Consumption Comparison (GB/Month)



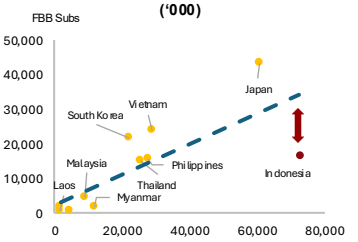
Source: Company Data, Team Analysis

Figure 25: Mobile Operational Metrics



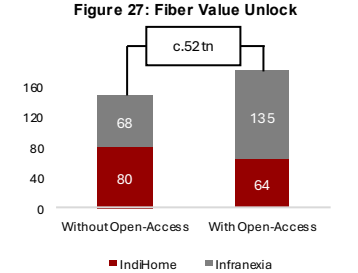
Source: Company Data, Team Analysis

Figure 26: Countries FBB Penetration ('000)



Source: Various Sources, Team Analysis

Figure 27: Fiber Value Unlock



Source: Team Analysis

Robust Shareholder Returns Underscore TLKM's Commitment to Disciplined Capital Allocation. Over the past decade, TLKM has consistently delivered the highest dividend payout ratios among Indonesian telecom peers, maintaining levels above 60% (averaging ~78%) even during capex-intensive periods like 4G rollouts and fiber expansions—far outpacing Indosat Ooredoo Hutchison (ISAT) at ~32% and XL Axiata/Smartfren (EXCL) at ~35%, with the latter often dipping negative amid losses. This shareholder-centric policy, formalized since 2017, reflects strong board oversight and alignment with stakeholders, including the Government of Indonesia as the 52.1% controlling shareholder via Danantara. Enhancing this, TLKM launched a IDR 3 trillion share buyback program in May 2025, set to run through May 2026 and approved at the General Meeting of Shareholders, targeting up to 11% of its market cap to support price stability and returns amid market volatility. These measures not only signal financial prudence but also reinforce TLKM's appeal as a reliable income play in the sector.

INVESTMENT SUMMARY

Thesis #1 – Favorable Industry Backdrop Sets Up A Mobile Turnaround

After years of destructive competition, Indonesia's mobile industry is finally entering a healthier phase. We expect TLKM's mobile revenue to reverse its multi-year decline and deliver c.4.5% CAGR over our forecasting period (vs. –1.0% in FY19-FY24) This turnaround is underpinned by twofold catalysts: **1)** rising data yields as pricing rationalization takes place and **2)** sustained expansion in data consumption.

Natural Triopoly End-Game. In our view, Indonesia's mobile industry has effectively reached its finish line, converging toward the global norm of a triopoly market, unlike past consolidation cycles. With this natural end-state in place, we expect market shares among the big three to stabilize, allowing MNOs to focus on their "homework" rather than price wars and market-share battles. This includes **1)** TLKM's refocus on profitability and shareholder returns following the transition to Danantara-led professional management (Appendix 15), **2)** EXCL's post-merger integration amid margin pressure (-9% NPM 9M25) and **3)** ISAT's ongoing network expansion (37% capex-to-sales 9M25). Moreover, MNOs are also shifting priorities as they prepare for the next capex cycle of 5G spectrum auction & network deployment. Against this backdrop, we see a low possibility for renewed price wars in the foreseeable future.

Healthier Competition Enables Price Rationalization. Prolonged price wars across Indonesia's mobile industry historically compressed data yields, preventing ARPU expansion despite surging data consumption. Combined with the structural decline in legacy services (Voice & SMS), resulted in broadly flat ARPU and ultimately constrained topline growth. With competitive pressures easing under a stable triopoly, MNOs are finally able to unwind years of price destruction and begin restoring effective data pricing. Early signs of this rationalization are already visible, with MNOs **1)** lifting effective data tariffs, **2)** reducing quotas, and **3)** raising starter-pack prices (Figure 23). We expect TLKM to benefit from this cycle with data yield rising to 3.4 IDR/MB in FY26F–FY27F before naturally easing to 3.1 IDR/MB by FY30F, helping rebuild ARPU and supporting margin expansion.

Where Data Consumption Just Keeps Going Up. Despite rising data yields, we expect data consumption to continue expanding sustainably. In the near term, improving purchasing power allows subscribers to absorb higher effective data prices, while Indonesia's low ARPU-to-GDP-per-capita ratio (0.6%) suggests headroom for further monetization without impairing affordability. Over the medium to long term, data usage growth remains structurally supported as Indonesia's data consumption still trails regional peers (Figure 24), leaving room for catch-up, thanks to **1)** a deepening digital lifestyle, reinforced by **2)** a young, data-native demographic profile, which results in sticky data demand across economic volatility. Hence, from FY25F onward, we forecast TLKM's data usage to rise by 1GB annually, reaching 17.3GB/month by FY30F, effectively translating higher usage into higher ARPU.

Thesis #2 – New Cash Machine Through Fiber Assets Monetization

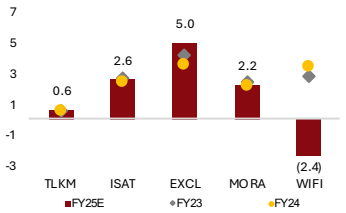
We expect TLKM's fiber-asset monetization through open-access Infranexia to bring c.6% extra revenue (c.IDR9.9tn) by FY30F, implying that one third of TLKM's incremental top-line growth will come from Infranexia alone. Given the nature of infrastructure businesses, we expect the new external revenue will have a way higher EBITDA margin. As such, Infranexia will deliver IDR7.6tn EBITDA by FY30F, contributing 8.1% to TLKM's EBITDA, ultimately expanding the EBITDA margin by 130bps.

Long FBB Runway Ahead. Indonesia's FBB penetration remains low at 22.9% (vs. c.59% regional median), presenting a sizable multi-year growth opportunity. We expect penetration to double to c.47%, closing the gap with regional peers translating the total subscriber to c.36mn households (Figure 26), supporting our bullish outlook for FBB demand going forward. We attribute this acceleration to **1)** lower package prices amid intensifying ISPs competition, **2)** FBB's superior cost-per-GB economics as household data usage rises, and **3)** thicker wallet size that improves affordability. The deficit of c.19mn home-connections is expected to be captured most by TLKM through Infranexia's open-access model.

Scaling FBB Through Indirect Market Capture. We see strong economic rationale for ISPs to lease Infranexia's fiber network rather than build their own, given **1)** the high upfront FTTH capex, **2)** lengthy planning-to-construction timelines, and **3)** TLKM's unmatched nationwide coverage with c.28mn ready HP inventory, providing immediate low-hanging-fruit access. With this structural advantage, we expect TLKM to face minimal difficulty onboarding ISPs. Hence, we estimate new connections from ISPs to reach 7.6mn by FY30F, gaining 25% indirect market share and implying that c.70% of Indonesia's FBB subscribers will run on TLKM's fiber network by FY30F. Although seemingly big, we justify this with key potential client target new connections of c.11.5mn over next 2-3 years (Appendix 22). Under this framework, our analysis suggests TLKM can unlock c.IDR52tn in value (Figure 27), a level unattainable under a closed IndiHome-only model, with value creation at Infranexia more than offsetting the decline at IndiHome.

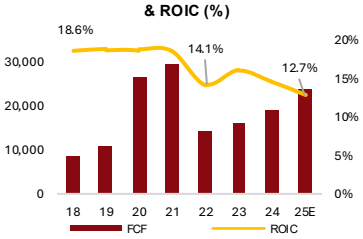
Strong Balance Sheet, Open The Doors For Consolidation. Beyond organic growth, TLKM's ability for consolidation in the fiber space appears solid, particularly with respect to its **1)** ample cash (c.IDR30tn), **2)** low gearing (0.5x), and **3)**

Figure 28: Net debt to EBITDA Comparison



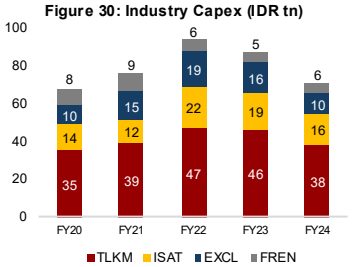
Source: Capital IQ, Team Analysis

Figure 29: TLKM's Historical FCF (IDR bn) & ROIC (%)



Source: Team Analysis

Figure 30: Industry Capex (IDR tn)



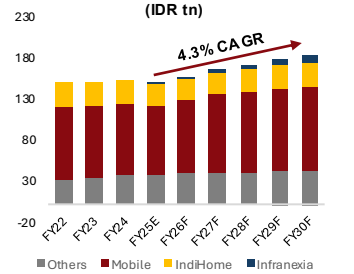
Source: Team Analysis

Figure 31: Special Dividend Estimation

	Divestment	Infranexia	NeutraDC
Transaction	**15,150**	**36,620**	**4,204**
Payout Ratio	100%	100%	25%
Special Div.	**15,150**	**36,620**	**1,051**
DPS	153	370	11
Dividend Yield	**4.4%**	**10.7%**	**0.3%**

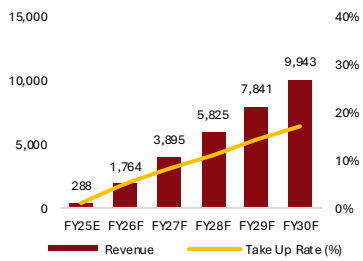
Source: Team Analysis

Figure 32: Revenue Forecast (IDR tn)



Source: Team Analysis

Figure 33: Infranexia External Revenue (IDR bn)



Source: Team Analysis

gigantic size (c.5-20x vs peers in equity value). Hence, we believe TLKM is well-positioned to pursue consolidation through acquisition of FiberCos, considering the global industry trend in recent years (Appendix 14). Our expert interviews suggest that TLKM has potential optionality to acquire PLN's fiber assets (Icon+), which would expand its HP inventory while enabling network expansion at lower capex by leveraging PLN's nationwide electricity infrastructure. Such transactions would cement TLKM's quasi-monopoly position in the Indonesian FBB market.

Thesis #3 - New Management Is Set to Maximize Total Shareholder Return

We view TLKM's increasingly professional management team (67% from non-SOE backgrounds) as the key catalyst behind its renewed focus on returns and disciplined core-business execution. Historically, TLKM's pursuit of scale and industry leadership came at the expense of FCF and ROIC (Figure 29). Today, the company stands at a clear inflection point, entering a new capex phase marked by moderated, selective, high-IRR investments in core businesses. This transition is set to structurally lift ROIC, while incremental cash generation increasingly flows back to shareholders.

New Expert-Led Board Takes the Wheel at Inflection Point. TLKM's historically high capex intensity, amplified by its scale, accounted for 50-54% of industry capex (Figure 30). While this temporarily weighed on FCF and ROIC, it delivered superior network quality across mobile and fiber, creating a durable competitive moat (see Competitive Analysis). With the nationwide infrastructure build-out largely complete and the next 5G cycle still ahead, we expect capex to remain modest in the near term. However, capital allocation beyond the core network proved less effective, with past non-core investments (including unrelated stakes such as GoTo) generating limited returns and minimal synergies, ultimately eroding shareholder value. With a more professional board now steering the company, we believe TLKM is well positioned to execute a strategic pivot toward disciplined capital allocation, refocusing capex only on high-return core businesses while returning excess cash to shareholders.

Strategic Pivot Toward Returns and Cash Generation. With stronger top-line growth and margin expansion ahead, we expect TLKM to deliver a robust 8.6% EPS CAGR over our forecast period. Combined with declining capex intensity, this will translate into a strong 10.5% FCF CAGR and a c.460bps ROIC expansion to 17.3% by FY30F (vs. 12.7% in FY25E). This structurally improved cash-generation profile underpins our view that a sustained 90% payout ratio is achievable, implying an average dividend yield of 7.2% over our forecast period. Moreover, we believe TLKM's streamlining initiative, especially its divestment of non-core, loss-making subsidiaries alongside non-productive property and landbank, will serve as an additional direct catalyst for margin expansion and capital-efficiency improvement. Under this scenario, we estimate **1)** annual cost savings of c.IDR6.6tn, **2)** lifting net profit margin by 110bps to 18.9% in FY30F (vs. 17.8% pre-divestment), and **3)** boosting ROE by 330bps to 21.6% (vs. 18.3% pre-divestment) as unproductive assets are removed from the balance sheet. In addition, the program could unlock c.IDR45.4tn in cash proceeds, further strengthening TLKM's balance-sheet flexibility and payout capacity.

Special Dividend Down the Road. With multiple upside catalysts in place, we see TLKM's plan to onboard strategic partners as a key step toward crystallizing embedded value through potential special dividend, with additional upside from partners with high operational expertise and/or lower costs of capital. We expect TLKM to divest up to 30% of both Infranexia (c.IDR 36.6tn) and NeutraDC (c.IDR4.2tn), generating DR40.8tn in fresh capital. In our view, TLKM will distribute the full proceeds from the Infranexia stake sale and 25% from NeutraDC given its higher capex needs. When combined with divestment proceeds (IDR15.1tn settled in FY26F) and base dividends (IDR22.2tn), this translates into a total potential dividend yield of 21.8% by FY27F, reinforcing TLKM's emerging appeal as a high-yield dividend play.

FINANCIAL ANALYSIS

Key Forecast Drivers

Source: Eternals Estimate

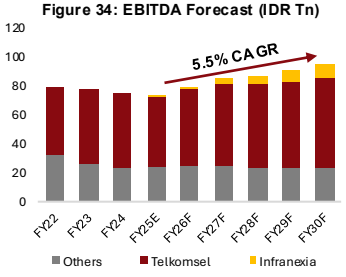
Key Forecasts Drivers	Unit	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Telkomsel's Subs	Mn	169.5	176.0	156.8	159.3	159.4	157.3	156.5	156.7	156.9	157.1	157.3
Data Yield	IDR/MB	6.5	4.9	4.4	4.4	3.8	3.3	3.4	3.4	3.3	3.2	3.1
Data Usage	GB/mo	4.7	6.7	8.2	9.4	10.7	12.3	13.3	14.3	15.3	16.3	17.3
IndiHome's Take Up Rate	%	26.6%	24.1%	24.9%	26.4%	27.7%	29.5%	30.0%	30.3%	30.5%	30.8%	31.0%
IndiHome's ARPU	IDR 000/mo	246.5	264.0	262.2	266.8	242.2	215.0	200.0	195.0	190.0	185.0	180.0
Third-Party Take Up Rate	%	-	-	-	-	-	1.0%	5.0%	8.0%	11.0%	14.0%	17.0%
Lease Rate	IDR 000/mo	-	-	-	-	-	120	120	120	120	120	120
Capex per HP	IDR Mn	2.8	1.9	6.8	6.4	5.4	5.4	5.6	5.9	5.9	5.9	5.9
Homepassed	000	30,100	35,680	37,000	38,000	39,000	40,000	41,000	42,000	43,000	44,000	45,000

1) Revenue: Momentum Rebuilds on ARPU Gains and Infra Monetization

TLKM is set to reverse its historical stagnation (2.0% CAGR FY19–24) and deliver a robust 4.3% revenue CAGR, reaching IDR 181.8tn by FY30F (Figure 32). This acceleration is underpinned by a **1)** turnaround in the mobile segment coupled with **2)** new growth machine from fiber assets monetization.

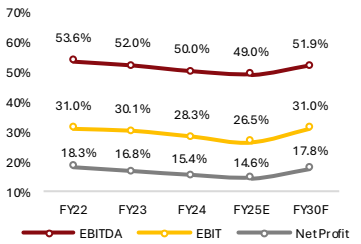
Market Repair Drives Mobile Segment Topline. Market repair is actively healing TLKM's mobile topline, ending a cycle where monetization was suffocated by aggressive industry price wars. Historically, intense competition compressed data yields and capped ARPU in the IDR 40–44k range, causing revenue to largely stagnate despite a massive +53.8% CAGR surge in data usage over the past decade. We now see a decisive break from this trend: with pricing discipline restored, data yields are projected to recover from IDR3.1/MB in 2Q25 to IDR 3.4/MB in FY26–27F, effectively monetizing the sustained growth in usage from 10.7GB/month in FY24 to 17.3GB/month by FY30F. This yield recovery, no longer diluted by the now-immaterial legacy business (Legacy contribution dropped from 28.4% in FY20 to 9.7% in FY24), allows ARPU to decisively shatter its historical ceiling—rising 9%/6% in FY26F/FY27F and c.3% thereafter to reach IDR 55.1k by FY30F. Consequently, we forecast mobile revenue to reverse its historical stagnation (-1.0% 5Y CAGR) and re-accelerate to a 4.6% CAGR (FY25–30F), reaching c.IDR 104tn.

Figure 34: EBITDA Forecast (IDR Tn)



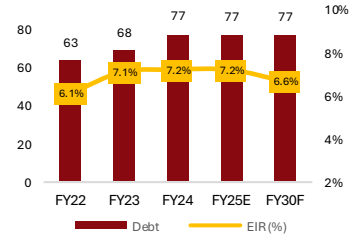
Source: Team Analysis

Figure 35: TLKM Profitability Margin



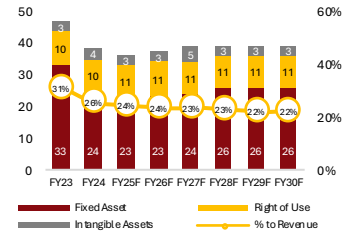
Source: Team Analysis

Figure 36: Debt (IDR tn) and Effective Interest Rate (%)



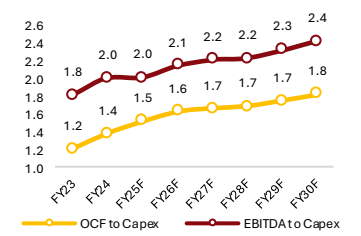
Source: Team Analysis

Figure 37: Capital Expenditure (IDR tn)



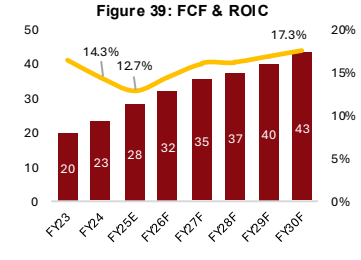
Source: Team Analysis

Figure 38: OCF/CapEx & EBITDA/CapEx



Source: Team Analysis

Figure 39: FCF & ROIC



Source: Team Analysis

Infranexia As The New Growth Engine. We expect TLKM's fiber-asset monetization through Infranexia's open-access model to emerge as a key incremental growth in the following years. By wholesaling its nationwide FTTH network to ISPs, we forecast Infranexia to capture c.25% of Indonesia's FBB market by FY30F, translating to c.7.6mn third-party home connections. While lease fee has not been disclosed, we assume a high-end benchmark wholesale lease fee of IDR120k per home-connect, justified by Infranexia's scale advantage as the largest fiber owner with the widest national coverage (Appendix 22). On this basis, we estimate external revenue to scale from a standing start to IDR9.9tn by FY30F (Figure 33), c.6% revenue contribution to TLKM, implying that one third of TLKM's incremental topline growth over the forecast period will come solely from Infranexia.

Other Segments Remain Stable but Non-Catalytic. We forecast muted IndiHome revenue growth of c.0.8% 5Y CAGR, reaching IDR27.1tn (c.15% of revenue), as intense FBB competition—further accelerated by Infranexia's open-access model—drives inevitable market-share erosion (from 65.2% in FY24 to 45.6% by FY30F) and ARPU compression (IDR242.2k in FY24 to IDR180.0k by FY30F). Additionally, the 'Others' segment—primarily consisting of Enterprise and Wholesale (ex. Infranexia)—is projected to remain modest at a 1.6% 5Y CAGR, generating c.IDR38tn-41tn annually (c.22-26% of revenue) as it lacks new growth drivers.

2) Cost: Minimal Costs Drives Operating Leverage

Operational Expenses Growing at a Slower Pace than Revenue. TLKM's operating expense base is dominated by Operations & Maintenance (38.3%), Depreciation & Amortization (30.3%), and Personnel (15.6%), with the remainder comprising Interconnection (IC), G&A, and Marketing expenses (combined 15.8%). We estimate a disciplined Opex CAGR of c.3.0% over the forecast period, driven by: **1)** O&M grow at 2.8% CAGR as high operating leverage enables revenue growth with minimal incremental cost, with an estimated one-off +6.7% YoY increase in FY28F to accommodate new 5G spectrum fees; **2)** IC expenses grow at 1.3% CAGR as they are not directly proportional to key topline growth; and **3)** Personnel, G&A, and Marketing expenses remaining broadly flat in common-size under stringent cost controls. **4)** Depreciation and amortization is expected to grow steadily at 2.7% FY25-30F CAGR, reflecting a more measured capex rollout as TLKM's established infrastructure dominance reduces the necessity for the aggressive deployment intensity seen in prior cycles.

3) Profitability: Expands on Higher Utilization and Leaner Operations

Pricing Rationalization and Higher Asset Utilization Drive Profitability. We project TLKM's consolidated EBITDA margin to expand structurally by c.190bps, rising from 50.0% in FY24 to 51.9% by FY30F (Figure 34), preserving a clear profitability premium over peers such as ISAT and EXCL, whose margins remain capped in the c.37–43% range. Improved mobile data pricing is expected to lift group margins through higher revenue intensity, despite a temporary cost normalization around the FY28 new 5G spectrum. Given mobile's c.56% revenue contribution, this provides a durable foundation for margin expansion. On the other hand, rising utilization of fiber assets further enhances profitability. Given infrastructure's high operating leverage, incremental revenue is generated at minimal incremental cost. As a result, we estimate Infranexia will contribute c.8% of group EBITDA by FY30F, translating into c130bps uplift in consolidated EBITDA margin.

Cutting Leverage Costs. With c.55% of debt on floating rates and refinancing at lower rates, a lower interest-rate environment should help moderate financing costs. As such, we expect the effective interest rate to decline to c.6.6% (vs. 7.2% in FY24) (Figure 36). Additionally, with no need for additional leverage going forward (see Capital Management), we project finance expenses to remain largely flat at c.IDR5tn, supporting c.250bps net-margin expansion, from 15.4% in FY24 to 17.8% by FY30F. (Figure 35)

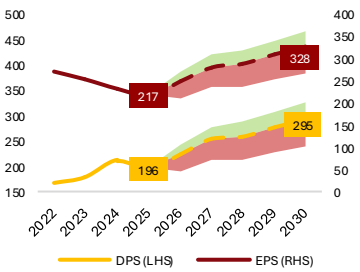
Potential Bottom-Line Uplift from Streamlining Initiative. Under the new management, TLKM's divestment of low-margin non-core businesses is set to unlock structural efficiency gains. By deconsolidating operationally heavy, loss-making subsidiaries, we estimate permanent opex savings of c.IDR6.6tn annually, lifting NPM by c.110bps to 18.9%% in FY30F (vs. 17.8% pre-divestment). Coupled with the divestment of non-productive property and landbank, capital efficiency improves as the asset base shrinks, driving a c.330bps ROE expansion to 21.8% (vs. 18.3% pre-divestment) (Appendix 12). For the robustness of our estimates, we treat this as a mutually exclusive event that would rerate TLKM's margins going forward.

4) Capital Management: Robust Balance Sheet Position

Waiting on the Next Capex Cycle. Following an intensive investment phase to build nationwide mobile and fiber infrastructure, TLKM is entering a structurally different capex cycle. With core network assets largely in place, we see limited need for aggressive expansionary spending as management has said. As such, we expect capital intensity to structurally moderate, with fixed-asset capex stabilizing at 14.1–16.3% of revenue (Figure 37), down from 21–27% over the past decade. Mobile capex should remain maintenance-focused until the 5G cycle ramps up in FY28, while fiber rollout becomes more selective at c.1mn HP annually. Right-of-use assets's capex is expected to be stable at IDR10.5tn, totaling c.27% of total capex. Lastly, we expect capex for intangible assets to remain stable yet elevated in FY27F, driven by 5G spectrum acquisition, accounting for 8–12% of total capex. Hence, we believe TLKM is in a holding phase ahead of the next capex cycle, prioritizing cash preservation and returns on its asset base.

Strongest Capital Structure in the Industry. TLKM maintains the sector's most conservative balance sheet, with net debt/EBITDA of 0.6x, well below peers at c.2.2–3.6x. Given TLKM's scale, this translates into substantial incremental debt capacity of c.IDR250tn. In contrast, key telco peers (ISAT, EXCL, MORA, and WIFI) operate with materially limited balance-sheet headroom of only c.IDR3–20tn, alongside structurally weaker profitability profiles (mid-single digit margins for ISAT and MORA, and negative margins for EXCL as of 9M25). Any incremental leverage would therefore further pressure profitability, constraining their ability to pursue capital-intensive initiatives such as FiberCo consolidation. Importantly, we do not assume TLKM will deploy its balance-sheet capacity in our base case, as internal cash generation is increasingly sufficient to fund investment needs. Stronger operating cash flow and EBITDA drive OCF-to-capex up to 1.8x (vs. 1.4x in FY24) and EBITDA-to-capex to 2.4x (vs. 2.0x in FY24), underscoring ample internal funding capacity (Figure 38).

Figure 40: EPS and DPS Trajectory (IDR Full)



Source: Team Analysis

Figure 41: Eternals' Investment Rating

Eternals Investment Criteria	
Buy	+10%
Sell	-10%
Hold	Between +10% and -10%

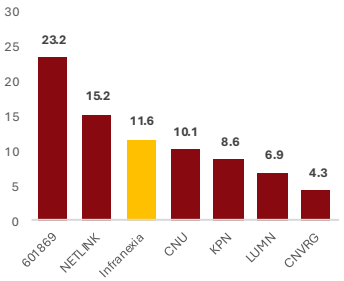
Source: Team Analysis

Figure 42: Telkomsel's DCF (Summarized)

Telkomsel DCF-FCFF	Numbers
WACC	12.3%
Sum of PV FCF (25-30)	99,925
Terminal growth rate	2.5%
Terminal value	301,500
PV of terminal value	150,586
Enterprise value	**250,512**
Implied EV/EBTIDA (FY26F)	4.7

Source: Team Analysis

Figure 43: FiberCo Multiple Range



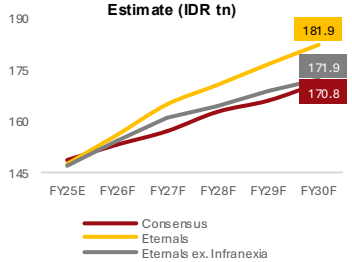
Source: Team Analysis, Refinitiv

Figure 44: NeutraDC Multiple Valuation

EV/EBITDA Multiple	Numbers
Equinix Inc.	22.8
Digital Realty Trust Inc.	26.8
NextDC Ltd.	45.8
GDS Holdings Ltd. - ADR	18.1
Target NeutraDC (Quartile 1)	**19.3**
EBITDA FY26F	728
Enterprise value	**14,014**

Source: Team Analysis, Refinitiv

Figure 45: Consensus vs Eternals Revenue Estimate (IDR tn)



Source: Bloomberg, Team Analysis

Poised for Elevated Shareholder Returns. As we expect stronger revenue growth and margin expansion ahead, NOPAT is projected to grow strongly at 8.5% CAGR throughout our forecast period. Combined with structurally lower capex intensity as TLKM exits its heavy investment phase, this translates into a step-change in free cash flow generation, with FCF projected to grow at an 10.5% CAGR through FY30 and FCF yield rising to 11.3% by FY30 from 6.0% in FY24 (Figure 39). The resulting cash flow strength underpins TLKM's ability to sustain a higher shareholder payout. As such we view a 90% dividend payout ratio as achievable, as even after dividends TLKM still has c.IDR4-9.5tn of annual surplus liquidity and ample cash flow headroom. Moreover, TLKM's ROIC stood at 14.3% in FY24, comfortably above its 11.1% WACC and well ahead of peers, with ISAT generating c.9% ROIC and EXCL c.6%, underscoring TLKM's structurally superior returns profile. Looking ahead, stronger NOPAT growth alongside modest invested-capital expansion—driven by an elevated payout ratio and flat leverage—should drive ROIC higher to 17.3% by FY30F (Figure 39).

Potential Special Dividends. Beyond recurring dividends, TLKM is positioned to unlock a meaningful one-off cash proceeds in FY26F from its asset-optimization program. We estimate that divesting up to 30% stakes in Infranexia (c.IDR36.6tn) and NeutraDC (c.IDR4.2tn), alongside the divestment of non-core business and non-productive property settled in FY26F (c.IDR15.1tn), could generate c.IDR52.8tn of gross proceeds. Given TLKM's excess capital and limited reinvestment needs ahead, we assume full payout of Infranexia and divestment proceeds, and 25% of NeutraDC proceeds, implying a c.15.4% special-dividend yield. Combined with the FY26F base dividend of c.6.5%, this translates into a potential total yield of c.21.8% in FY27F, effectively repositioning TLKM from a defensive utility into a high-yield value opportunity.

VALUATION

We initiate our **BUY** recommendation on TLKM with a target price of IDR4,100/sh, offering 18% potential upside from the closing price of IDR3,470/sh on 2 Jan'26 and implying 5.7x FY26F EV/EBITDA. Our valuation is based on a sum-of-the-parts (SOTP) that consists of: **1)** Mobile & Home Connectivity (Telkomsel), **2)** Fiber Infrastructure (Infranexia), **3)** Tower Infrastructure (Mitratel), **4)** Data Centers (NeutraDC), and **5)** Other Businesses. We believe SOTP is the most appropriate methodology to estimate the embedded value of TLKM's infrastructure assets, which remain masked under the consolidated group valuation driven by Telkomsel, in our view. As a sanity check, we also conduct a relative valuation against TLKM peer companies.

Sum-of-the-Parts (SOTP): Capturing TLKM's Hidden Value

Segments	Ownership	Method	Enterprise Value	Effective EV	EV/Share	% of EV
Telkomsel	69.9%	DCF: WACC 12.3%, LTG 2.5%	250,512	175,108	1,768	39%
Infranexia	100.0%	DCF: WACC 10.4%, LTG 5.0%	135,379	135,379	1,367	30%
Mitratel	71.8%	DCF: WACC 8.8%, LTG 2.5%	66,887	48,025	485	11%
NeutraDC	100.0%	EV/EBITDA: 19.3x	14,014	14,014	141	3%
Other businesses	100.0%	EV/EBITDA: 5.1x	72,999	72,999	737	16%
Enterprise Value				**445,525**	**4,497**	**100%**
Net Debt				**41,407**	**418**	
Equity Value				**404,118**	**4,100**	

Telkomsel. As a mature cash-generating business with high visibility on earnings and capex cycles, we value Telkomsel using a DCF–FCFF with a perpetuity approach, allowing us to capture the long-term impact of ARPU uplift on cash flows. Our DCF is primarily sensitive to **1)** revenue, driven by ARPU and subscriber assumptions across mobile and home connectivity, **2)** profitability, which factors in margin expansion as mobile ARPU rise, and **3)** capex, which we expect to moderate before increasing in FY28 as Telkomsel ramps up its 5G deployment. Applying a WACC of 12.3%, reflecting the higher risk profile of a retail-facing business, and a conservative 2.5% terminal growth rate to capture long-term mobile market saturation, our DCF yields an enterprise value of IDR250tn, implying 4.7x FY26F EV/EBITDA.

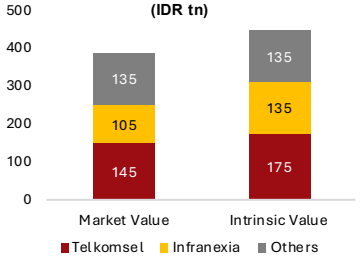
Infranexia. Given its multi-year monetization runway, we apply a DCF–FCFF method with a perpetuity approach to properly reflect Infranexia's scalable economics and utilization-driven cash-flow expansion. Our DCF is sensitive to **1)** revenue, mainly driven by monthly lease rate and the growth in take up rate, **2)** profitability, which incorporates margin expansion from operating leverage as utilization rises, and **3)** capex, linked to incremental HP deployment. Applying a WACC of 10.5% and a 5.0% terminal growth rate to reflect the long runway unpenetrated FBB market, we derive an enterprise value of IDR135tn, implying 11.6x FY26F EV/EBITDA. While this sits at the upper side of the FiberCo peer range (Figure 43), we view the premium as justified given Infranexia's **1)** superior EBITDA growth profile, **2)** early-stage monetization with sizable runway beyond our forecasting period as FBB penetration expected to reach only c.40% by FY30F, and **3)** quasi-monopoly position in Indonesia's FiberCo market.

Mitratel. We value Mitratel using a DCF-FCFF method with a perpetuity approach, reflecting its stable recurring cash-flow profile. Using a WACC of 8.8% and a 2.5% terminal growth rate, we derive an enterprise value of IDR67tn, implying 7.7x FY26F EV/EBITDA. This valuation is broadly in line with Mitratel's current market capitalization, consistent with our view that no meaningful catalysts are likely to drive a re-rating in the near term.

NeutraDC. We value NeutraDC using an EV/EBITDA multiple benchmarked against our pure-play data-center peer universe (Figure 44). We apply an 19.3x EV/EBITDA multiple, using the first quartile of the peer range, reflecting our view that pure-play DC companies warrant a valuation premium. Applying this multiple to NeutraDC's IDR728bn FY26F EBITDA yields an enterprise value of IDR14tn.

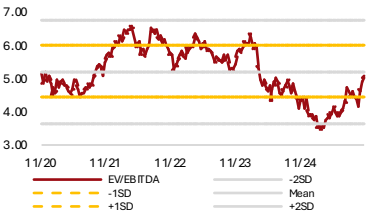
Other Businesses. We then pool TLKM's remaining businesses, primarily enterprise and other wholesale businesses, into one segment. We conservatively apply TLKM's historical average forward EV/EBITDA multiple of 5.1x to reflect the fair value. Using IDR14tn FY26F EBITDA, we arrive at an enterprise value of IDR73tn.

Figure 46: Implied TLKM Valuation (IDR tn)



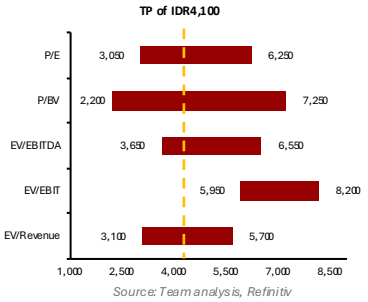
Source: Team Analysis

Figure 47: TLKM's Forward EV/EBITDA Band



Source: Team Analysis

Figure 48: Valuation Football Field



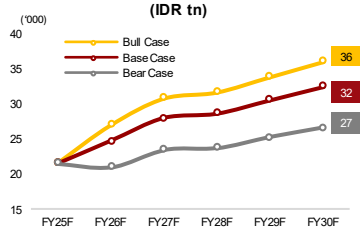
Source: Team analysis, Refinitiv

Figure 49: EV/EBITDA Multiple Target

EV/EBITDA Multiple	Base Case
Average historical disc.	-36.8%
EV/EBITDA peer weighted avg. (FY26F)	8.2
Disc. Implied	-24.5%
Target EV/EBITDA	6.2
EBITDA FY26F	78,624
Net debt	41,407
Minority Interest	20,396
Equity value	423,441
Implied target price	4,250
Upside/downside	**22%**

Source: Team Analysis

Figure 50: Scenario Impact to Net Profit (IDR tn)



Source: Team Analysis

Figure 51: Special Dividends Scenario

Special Dividend	Bear	Base	Bull
Divestment	11,362	15,150	22,725
Infranexia	18,732	36,620	46,419
NeutraDC	942	1,051	1,160
Special Dividend	**31,036**	**52,821**	**70,304**
DPS	313	533	710
Dividend Yield	**9.0%**	**15.4%**	**20.5%**

Source: Team Analysis

Reaffirming TLKM Valuation Attractiveness. TLKM's current market capitalization reveals a clear asset-play opportunity. Based on TLKM's recent price action and assuming the market has already priced in the fair value of Mitratel, NeutraDC, and Other businesses, we estimate that Telkomsel and Infranexia are trading at discounts of 17.1% and 22.4%, respectively (Figure 46). In our view, this discount is partly due to Infranexia's current limited earnings visibility, as consensus estimates have yet to fully incorporate its contribution (Figure 45). We believe this discount will narrow as the market begins to re-rate TLKM, supported by **1)** a sustained ARPU uplift in the mobile segment, **2)** growing recognition of Infranexia's superior earning contribution and intrinsic value as a competitively positioned FTTH infrastructure provider, and **3)** the entry of strategic partners that will provide clearer market benchmarks for its underlying assets.

Relative Valuation: Multiples Pricing

We conducted relative valuation using peer multiples pricing. We compile a selection of comparable companies in the telco sector both domestic and overseas, based on the following criteria: **1)** integrated telco businesses with revenue primarily from mobile services, **2)** market cap above IDR50tn, and **3)** demographic profiles broadly similar to Indonesia. We arrived at the following peer universe in our analysis:

Company	Ticker	Mcap (IDR Bn)	FY26F P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue
PT Telkom Indonesia Tbk	**TLKM**	**343,746**	**15.1**	**2.4**	**5.5**	**9.8**	**2.8**
PT XL Axiata Tbk	EXCL	54,737	43.9	1.3	5.0	20.4	2.4
PT Indosat Tbk	ISAT	75,789	12.8	1.9	4.5	10.8	2.1
Advanced Info Service PCL	ADVANC	476,662	19.4	8.5	9.0	17.2	4.9
CelcomDigi Berhad	CDB	156,312	21.1	2.4	8.7	16.9	4.0
Axiata Group Berhad	AXIATA	94,038	37.1	1.2	6.8	19.3	3.1
Globe Telecom, Inc.	GLO	65,077	10.2	1.3	6.5	16.2	3.2
Maxis Berhad	MAXIS	119,991	20.2	5.1	9.4	15.8	3.7
PLDT Inc.	TEL	78,300	7.7	2.0	5.5	10.6	2.8
True Corporation PCL	TRUE	197,251	18.5	4.0	7.3	19.3	4.1
Taiwan Mobile Co., Ltd.	3045	169,446	21.0	3.8	11.1	22.2	2.3
Weighted Average Indonesian Peers (ex. TLKM)			25.9	1.6	4.7	14.8	2.2
Weighted Average Regional Peers (ex. TLKM)			19.8	5.0	8.5	17.7	3.9
Weighted Average Peer Universe (ex. TLKM			**20.4**	**4.7**	**8.2**	**17.4**	**3.8**
TLKM's Disc/Premium to Peer Universe			**-26.0%**	**-48.9%**	**-32.9%**	**-43.8%**	**-26.7%**

We used several multiples namely P/E, P/BV, EV/EBITDA, EV/EBIT, and EV/Revenue. We chose these metrics as we believe these metrics collectively provide a comprehensive view of telco performance, capturing aspects ranging from asset efficiency to margin management. Through these comparisons, we found that our target price of IDR4,100/sh lies within the sensible range across the metrics (Figure 48).

Resetting TLKM's Valuation Baseline. Moreover, we observe that TLKM has historically traded at a long-term EV/EBITDA discount of 36.8% relative to non-SOE peer weighted average. We attribute this gap largely to TLKM's SOE characteristics, which traditionally imply broader operational mandates, similar to valuation patterns seen in other regional SOE telcos (Appendix 10). With TLKM's management now comprising 67% professional (non-SOE) leadership, we expect the historical valuation discount to narrow meaningfully. Our base case assumes the discount closes by around one third over the next year (Figure 49), implying a target price of IDR4,250/sh (22% upside). This outcome is broadly in line with our SOTP-derived valuation, supporting our **BUY** recommendation.

Scenario Analysis

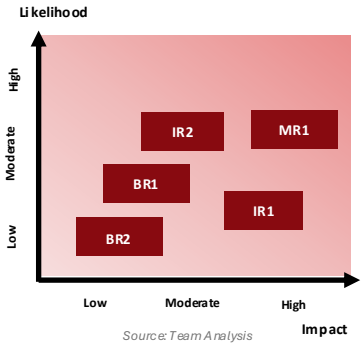
Scenario Analysis on Key Drivers. We conduct a scenario analysis to assess potential deviations from our base case and the risks that may alter our investment outlook. The key drivers include: **1)** data yield, **2)** data usage, **3)** IndiHome take up rate and ARPU, **4)** Infranexia's third-party take up rate and monthly lease rate, and **5)** capex per HP assumptions.

- **Best case (Bull Scenario).** We assume a stronger-than-expected macro recovery that enables TLKM to raise data yields without sacrificing data consumption momentum, resulting in ARPU rising 4% above our base case. IndiHome also achieves higher ARPU and stronger take up rate, while accelerating FTTH demand drives higher third-party take up rate and greater pricing power for Infranexia. We further assume TLKM can selectively expand into higher-density areas, reducing capex intensity. Under this scenario, our target price increases to IDR4,550/sh, implying 31% upside (16% above base case).
- **Base Case**: As mentioned on the report.
- **Worst Case (Bear Scenario).** We assume renewed price competition among MNOs, placing further downward pressure on data yields as operators defend market share. We also factor in weaker economic conditions that reduce data usage and soften FTTH demand for both IndiHome and third-party HC, forcing IndiHome to further cut ARPU. Additionally, we assume TLKM continues rolling out fiber in lower-density, less profitable areas, increasing capex commitments. Under this scenario, our target price declines to IDR3,350/sh, implying 3% downside (21% below base case).

Despite these external uncertainties, we conclude that upside potential meaningfully outweighs downside risks, reinforcing our **BUY** recommendation.

Scenario Analysis on Special Dividends. We also a conduct a scenario analysis on potential special dividends (Figure 51). In the bull case, we assume that TLKM is able to sell minority stakes to investors with lower cost of capital, resulting in higher asset valuations and larger dividend proceeds. We also assume a faster-than-expected execution of the divestment program further lifting total proceeds. Under this scenario, the implied special dividend yield increases to 20.5% (5.1% above our base case). In the bear case, we assume a higher cost of capital, a slower-than-expected divestment timeline, and lower-than-expected payout ratio. Under these assumptions, the implied special dividend yield declines to 9.0% (6.4% below our base case).

Figure 52: Risk Matrix



Source: Team Analysis

Figure 53: Risk Stress Test

Mobile ARPU (IDR k)	Net Profit (2030F)	Price	Delta	Upside
55.1	32,452	4,100	0	18%
52.6	30,845	3,950	-150	14%
50.1	29,238	3,750	-350	8%

Data Yield (IDR/MB)	Net Profit (2030F)	Price	Delta	Upside
3.1	32,452	4,100	0	18%
2.9	29,131	3,800	-300	10%
2.6	26,917	3,600	-500	4%

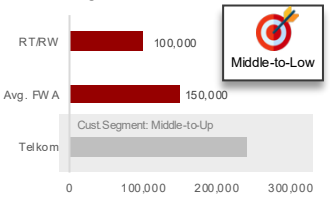
Data Usage (GB)	Net Profit (2030F)	Price	Delta	Upside
17.3	32,452	4,100	0	18%
16.3	35,149	4,000	-100	15%
15.3	33,167	3,800	-300	10%

External Take-up Rates	Net Profit (2030F)	Price	Delta	Upside
17%	32,452	4,100	0	18%
12%	30,547	3,800	-300	10%
7%	28,643	3,550	-550	2%

Lease Rate (IDR k)	Net Profit (2030F)	Price	Delta	Upside
120	32,452	4,100	0	18%
95	31,226	3,900	-200	12%
70	30,000	3,750	-350	8%

Source: Team Analysis

Figure 54: RT/RW Net Price



Source: Team Analysis

Figure 55: Data Yield & Data Usage Sensitivity Analysis

Data Usage \ Data Yield	(0.75)	(0.50)	(0.25)	**0.00**	0.25	0.50	0.75
1.5	3550	3850	4100	**4350**	4650	4,900	5,200
1.0	3500	3750	4000	**4250**	4550	4,800	5,050
0.5	3400	3650	3900	**4200**	4450	4,700	4,950
0.0	**3350**	**3600**	**3850**	**4100**	**4350**	**4,600**	**4,850**
(0.5)	3250	3500	3750	**4000**	4200	4,450	4,700
(1.0)	3200	3450	3650	**3900**	4100	4,350	4,600
(1.5)	3150	3350	3550	**3800**	4000	4,250	4,450

Source: Team Analysis

Figure 56: WACC & LTG Sensitivity Analysis

LTG \ WACC	1.5%	1.0%	0.5%	**0.0%**	-0.5%	-1.0%	-1.5%
1.5%	3500	3700	3950	**4200**	4500	4,900	5,350
1.0%	3450	3650	3900	**4150**	4450	4,800	5,250
0.5%	3450	3650	3850	**4100**	4400	4,750	5,200
0.0%	**3400**	**3600**	**3850**	**4100**	**4350**	**4,700**	**5,150**
-0.5%	3400	3600	3800	**4050**	4350	4,650	5,100
-1.0%	3400	3600	3800	**4050**	4300	4,650	5,050
-1.5%	3400	3550	3750	**4000**	4300	4,600	5,000

Source: Team Analysis

INVESTMENT RISK

Macroeconomic Risk

MR1: Economic Slowdowns. A broad-based economic slowdown in Indonesia remains a key downside risk, driven by 1) global macro uncertainty, 2) potential monetary tightening, and 3) weakening household purchasing power. While mobile usage is relatively defensive, we expect TLKM's data yield to come under pressure as consumers downshift to lower-priced packages and MNOs refrain from raising tariffs to protect market share. FBB is more exposed, a softer macro environment could reduce IndiHome net adds, slow third-party HC adoption, and force further ARPU cuts to maintain subscriber retention. A prolonged macro downturn would therefore weigh on TLKM's yield recovery trajectory, FTTH monetization, and overall profitability.

Impact to Valuation: Our model indicates that a 0.5-pt reduction in data yield, 0.5GB lower in data usage, 2.5% lower take up rate for IndiHome and third-party HC, and 10k lower IndiHome ARPU would lower our target price to IDR3,200/sh (-8% downside).

Mitigant: The downside is strictly capped by the structural stickiness of data demand, which enables subscribers to absorb rising yields (IDR3.4/MB by FY26–27F) even in a softer economy. This resilience is anchored by connectivity's role as a non-negotiable utility (~6% of wallet share), ensuring that volume growth continues regardless of volatility.

Industry Risk

IR1: Reignite Price Wars. Historically, price wars among MNOs have typically intensified during major industry events, such as the SIM registration mandate in 2017 and the COVID-19 period in 2020, as operators moved aggressively to defend market share. Looking ahead, we see a non-negligible risk of renewed pricing pressure as 1) EXCL seeks to accelerate market share gains post-merger, 2) TLKM defends its ex-Java leadership, and 3) ISAT maintains its low-end positioning through competitive data pricing. Should one operator initiate aggressive discounting, we expect others to follow, creating a reactive cycle consistent with past behavior. A renewed price war would compress data yields while pushing up data usage, leaving ARPU flat or even declining. This dynamic would place further pressure on sector margins and, ultimately, weigh on TLKM's profitability.

Impact to Valuation: Our model indicates that a 0.5-pt reduction in data yield, 0.5GB higher data usage would lower our target price to IDR3,650/sh (5% upside).

Mitigant: Renewed price aggression is irrational because the industry has reached a point of low-price elasticity (0.4x in 2024 vs 5.8x in 2015), meaning lower tariffs no longer stimulate enough volume to offset revenue loss. Consequently, operators are abandoning futile share battles to prioritize profitability in a mature "natural triopoly" where subscriber growth is already exhausted.

IR2: Higher-than-expected FWA Adoption. The recent 1.4 GHz spectrum auction opens the door for 5G Fixed Wireless Access to compete with FTTH in Indonesia. The key risk stems would stem from : 1) lower capital intensity, resulting in 2) significantly faster deployment, thus 3) enabling them to offer cheaper broadband packages. Higher-than-expected FWA adoption would create a double headwind for TLKM, eroding IndiHome's take up rate while reducing third-party HC demand for Infranexia. If TLKM fails to compete effectively, this could materially weaken its FBB growth outlook.

Impact to Valuation: Our model suggests that a 2.5% decline take-up rates for IndiHome and third-party HC would lower our target price to IDR3,800/sh (10% upside).

Mitigant: We view FWA as a competitor to the informal "RT/RW Net" segment (Figure 54) rather than a substitute for FTTH. Moreover, FWA act as a distinct "low-to-middle" product rather than a true substitute, constrained by weather sensitivity and high spectrum requirements of 100 MHz (vs. current 40Mhz) that prevent it from matching the "Gold Standard" of FTTH. As purchasing power rebounds, we expect a "flight to quality", where households graduate to fiber's superior reliability and ~60–70% lower latency, leaving FWA exposed to its inherent stability issues—evidenced by customer's preference on FTTH (Figure 3).

Business Risk

BR1: Execution Risk. TLKM's strategic roadmap involves, 1) Infranexia's spin-off and monetization, 2) portfolio streamlining, and 3) securing strategic partners through minority stake sales, all of which are being executed concurrently, heightening execution risk. Key risks include: 1) delays or shortfalls in the Infranexia spin-off and monetization, 2) slower progress in streamlining and cost savings, 3) lower-than-expected valuations or delays in strategic partner stake sales, and 4) reduced special dividend proceeds. These setbacks could limit TLKM's top-line growth, margin expansion, and capital management flexibility, ultimately delaying the market's re-rating of the stock.

Impact to Valuation: If Infranexia's monetization is delayed, our target price would decline to IDR3,900/sh (12% upside). Additionally, if portfolio streamlining progresses slower-than-expected and the proceeds come in below expectations, the potential special dividend yield we estimate would also be lower (see Scenario Analysis).

Mitigant: We view execution risk as capped by a historic governance pivot, with private-sector professionals now making up 67% of the Board—the highest among SOE peers. Anchored by former EXCL CEO Dian Siswarini, this seasoned team ensures complex moves like the Infranexia spin-off are executed with strict commercial discipline.

BR2: Higher-than-expected Capex. We see risk in TLKM's capital discipline trajectory, driven by 1) higher than expected 5G rollout capex, 2) higher than expected Infranexia HP expansion, and 3) undisciplined capital deployment in low-IRR businesses. A reversion to historical capital intensity levels (above the ~25% capex-to-revenue threshold) would severely compress Free Cash Flow (FCF) generation. This capital strain would not only delay the projected expansion in ROIC but also materially jeopardize the company's ability to sustain its high dividend payout ratio

Impact to Valuation: Our model indicates If a 15% increase in total capex would decline our target price to IDR3,900/sh (12% upside).

Mitigant: We view this risk as contained by the completion of the nationwide fiber build-out and the board's new priority in returns—focusing only on high-IRR capex and streamlining efforts further reinforcing capital discipline.

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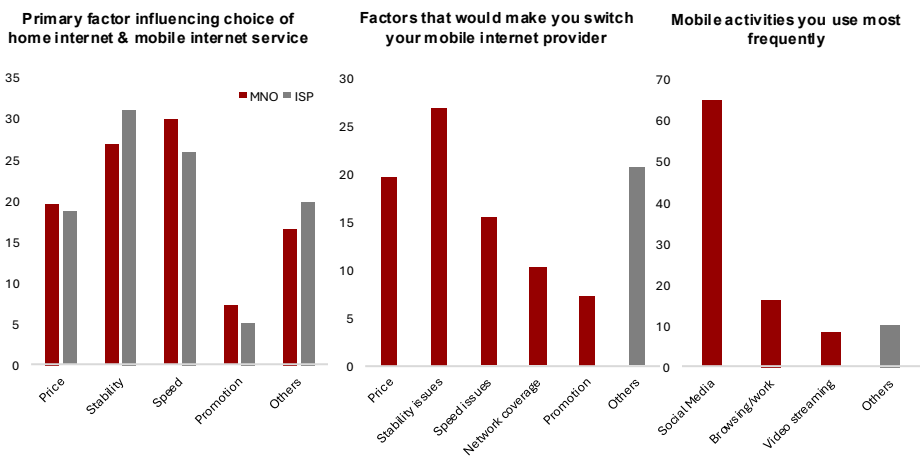
Appendix 1. Experts Interview

Expert A	Director of Digital Infrastructure Strategy and Policy at Komdigi, with 30+ years of experience in the telecommunications sector.
Expert B	Senior Vice President at Danantara, with prior experience as a Telco Banker, where he covered Southeast Asia TMT.
Expert C	Former Vice President Director of one of Indonesia's leading independent towerco with over 20 years of experience in the tele communications sector.
Expert D	Experienced telecommunications professional and ex-Project Manager at a major Indonesian mobile operator.
Expert E	Senior Economist with prior experience of 7 years as economist.
Expert F	Representative at a local ISP with over 25 years of operational experience in integrated digital infrastructure.
Expert G	Senior representative of a local ISP, with experience in advanced data network services and infrastructure leasing from TIF.
Expert H	Regional leader at APJII DKI Jakarta and President Director of an ISP company, with 15+ years of industry leadership experience.
Expert I	An industry expert in the APAC TMT sector, with over seven years of experience in ASEAN & Taiwan TMT industries.

Appendix 2. Consumer Behavior Survey

We conducted a consumer behavior survey to assess mobile data usage patterns and the key factors influencing consumers' choice of mobile and fixed broadband providers, in order to evaluate whether demand-side preferences are aligned with a shift toward quality-led competition.

Number of survey respondents: 423

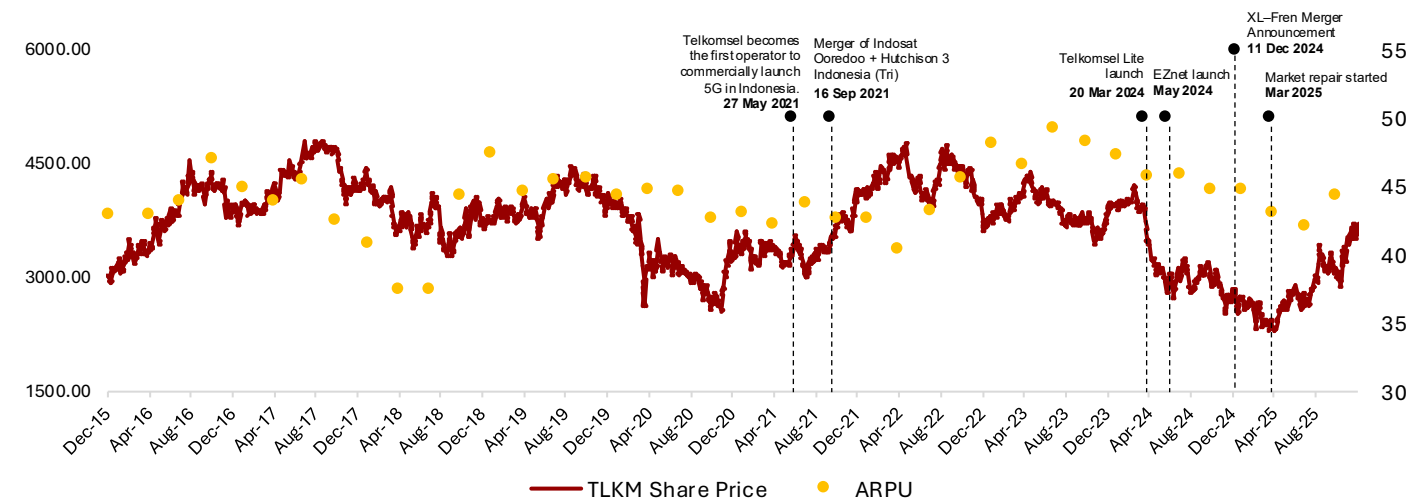


Key takeaways from the consumer behavior survey:

- **Network quality has become the primary determinant in provider selection.** In choosing a mobile internet provider, respondents prioritized speed (30%) and stability (27%) ahead of price (~20%), signaling a clear transition away from price-first decision-making.
- **Promotions are no longer the main driver of switching behavior.** Among respondents who changed providers, performance-related factors (speed and stability) outweighed promotional offers, suggesting diminishing returns from aggressive discounting.
- **Fixed broadband preferences mirror mobile behavior.** For home internet selection, stability and speed again ranked as the top considerations, indicating consistency in quality expectations across access types.
- **Social media is the single largest driver of mobile data consumption.** c.65% of respondents identified social media as their most frequent mobile data activity, far exceeding streaming, gaming, or video calls, confirming structurally high and recurring data usage intensity in Indonesia.

Consumer preferences increasingly support quality-led monetization. Taken together, the prioritization of network performance over price suggests rising tolerance for rational pricing, reinforcing demand-side alignment with disciplined competition and reducing reliance on destructive price wars.

Appendix 3. TLKM Historical Share Price and ARPU



Appendix 4. TLKM's Financial Statements

Consolidated Income Statements	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Revenues	**136,462**	**143,210**	**147,306**	**149,216**	**149,967**	**147,436**	**156,002**	**164,554**	**170,261**	**176,219**	**181,880**
Mobile	87,103	87,506	89,039	89,144	86,734	83,379	90,036	95,481	98,471	101,378	103,951
IndiHome	22,214	26,325	28,020	28,785	26,262	26,066	26,026	26,434	26,685	26,899	27,073
Infranexia	-	-	-	-	-	288	1,764	3,895	5,825	7,841	9,943
Others	27,145	29,379	30,247	31,287	36,971	37,703	38,177	38,745	39,279	40,102	40,912
Operational Expenses	**(93,274)**	**(99,303)**	**(101,569)**	**(104,300)**	**(107,581)**	**(108,312)**	**(111,419)**	**(114,592)**	**(119,566)**	**(122,572)**	**(125,460)**
Operation & Maintanance	(34,593)	(38,133)	(38,184)	(39,718)	(41,202)	(41,109)	(42,121)	(42,995)	(45,859)	(46,627)	(47,273)
Depreciation & Amortization	(28,892)	(31,816)	(33,255)	(32,663)	(32,643)	(33,160)	(34,041)	(35,063)	(36,006)	(36,955)	(37,891)
Personnel Expenses	(14,390)	(15,524)	(14,907)	(15,927)	(16,807)	(17,087)	(17,730)	(18,465)	(19,266)	(20,102)	(20,974)
Other Expenses	(15,399)	(13,830)	(15,223)	(15,992)	(16,929)	(16,957)	(17,528)	(18,069)	(18,435)	(18,887)	(19,322)
EBITDA	**72,080**	**75,723**	**78,992**	**77,579**	**75,029**	**72,283**	**78,624**	**85,025**	**86,701**	**90,602**	**94,312**
EBIT	**43,188**	**43,907**	**45,737**	**44,916**	**42,386**	**39,123**	**44,583**	**49,962**	**50,694**	**53,648**	**56,421**
Other income/expenses	(692)	3,578	(6,243)	(531)	608	-	-	-	-	-	-
Finance Income	799	558	878	1,061	1,367	1,407	1,343	1,279	1,292	1,321	1,373
Finance Cost	(4,520)	(4,365)	(4,033)	(4,652)	(5,208)	(5,491)	(5,277)	(5,086)	(5,086)	(5,086)	(5,086)
Earning Before Tax	**38,775**	**43,678**	**36,339**	**40,794**	**39,153**	**35,039**	**40,649**	**46,155**	**46,901**	**49,882**	**52,708**
Tax Expenses	(9,212)	(9,730)	(8,659)	(8,586)	(8,410)	(7,709)	(8,943)	(10,154)	(10,318)	(10,974)	(11,596)
Net profit	**29,563**	**33,948**	**27,680**	**32,208**	**30,743**	**27,331**	**31,706**	**36,001**	**36,583**	**38,908**	**41,112**
Attributable to TLKM owner	20,804	24,760	20,753	24,560	23,649	21,529	24,668	27,936	28,605	30,566	32,452
Minority Interest	8,759	9,188	6,927	7,648	7,094	5,802	7,039	8,065	7,978	8,343	8,660

Consolidated Balance Sheets	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Assets											
Cash and Cash Equivalents	20,589	38,311	31,947	29,007	33,905	33,867	35,185	35,347	35,917	36,983	38,904
Trade Receivables	11,339	8,510	8,634	10,667	12,193	12,118	12,822	13,525	13,994	14,484	14,949
Inventories	983	779	1,144	997	1,096	1,084	1,103	1,176	1,203	1,241	1,267
Other Current Assets	13,592	13,677	13,332	14,942	15,886	16,177	16,593	17,169	17,694	18,300	18,921
Total Current Assets	**46,503**	**61,277**	**55,057**	**55,613**	**63,080**	**63,246**	**65,702**	**67,217**	**68,809**	**71,007**	**74,041**
Fixed Assets	160,923	165,026	173,329	180,755	180,566	177,525	175,546	174,030	174,256	174,167	173,761
Right of Use Assets	18,566	18,469	20,336	22,584	26,910	31,179	35,309	39,297	43,141	46,837	50,381
Intangible Assets	6,846	7,506	8,302	8,731	9,442	10,333	10,984	12,732	12,776	12,589	12,175
Other Non-Current Assets	14,105	24,906	18,168	19,359	19,677	19,877	20,077	20,277	20,477	20,677	20,877
Total Non-Current Assets	**200,440**	**215,907**	**220,135**	**231,429**	**236,595**	**238,914**	**241,915**	**246,336**	**250,649**	**254,270**	**257,194**
Total Assets	**246,943**	**277,184**	**275,192**	**287,042**	**299,675**	**302,160**	**307,617**	**313,552**	**319,458**	**325,278**	**331,236**
Liabilities											
Accounts Payable	16,999	17,170	18,457	18,608	15,336	15,442	15,900	16,342	17,170	17,592	17,994
Short-term Debt	19,284	16,372	17,049	19,926	27,391	25,912	25,898	25,993	25,900	25,919	25,924
Current Maturities of Lease Liabilities	5,396	5,961	4,925	5,575	5,491	5,470	5,484	5,389	5,482	5,463	5,458
Other Current Liabilities	27,414	29,628	29,957	27,459	28,549	28,464	30,095	31,776	33,012	34,312	35,573
Total Current Liabilities	**69,093**	**69,131**	**70,388**	**71,568**	**76,767**	**75,288**	**77,376**	**79,500**	**81,564**	**83,287**	**84,948**
Long-term Debt	30,561	36,319	27,331	27,773	25,518	26,228	26,228	26,228	26,228	26,228	26,228
Lease Liabilities	10,221	10,426	13,736	14,850	18,468	18,982	18,982	18,982	18,982	18,982	18,982
Other Non-Current Liabilities	16,179	15,909	14,475	16,289	16,432	17,019	17,921	18,939	19,921	20,961	22,012
Total Non-Current Liabilities	**56,961**	**62,654**	**55,542**	**58,912**	**60,418**	**62,229**	**63,131**	**64,149**	**65,131**	**66,171**	**67,222**
Total Liabilities	**126,054**	**131,785**	**125,930**	**130,480**	**137,185**	**137,517**	**140,507**	**143,649**	**146,695**	**149,457**	**152,170**
Equity											
Capital Stock	8,038	17,059	17,361	17,303	17,161	17,161	17,161	17,161	17,161	17,161	17,161
Retained Earnings	94,489	104,587	111,897	118,441	124,933	127,086	129,553	132,346	135,207	138,263	141,509
Non-controlling Interest	18,362	23,753	20,004	20,818	20,396	20,396	20,396	20,396	20,396	20,396	20,396
Total Equity	**120,889**	**145,399**	**149,262**	**156,562**	**162,490**	**164,643**	**167,110**	**169,903**	**172,764**	**175,820**	**179,066**

Consolidated Cash Flow	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Net Income	20,804	24,760	20,753	24,560	23,649	21,529	24,668	27,936	28,605	30,566	32,452
Depreciation & Amortization	28,892	31,816	33,255	32,663	32,643	33,160	34,041	35,063	36,006	36,955	37,891
Change in NWC	3,162	3,204	798	(1,735)	(4,897)	194	(266)	(335)	332	(105)	(90)
Other Changes	(1,337)	2,129	674	(4,108)	146	(376)	1,215	1,106	710	695	639
Cash Flow from Operation	**51,521**	**61,909**	**55,480**	**51,380**	**51,541**	**54,506**	**59,657**	**63,770**	**65,653**	**68,110**	**70,892**
CapEx - Net	(51,808)	(36,482)	(44,221)	(42,766)	(37,491)	(36,002)	(36,759)	(38,560)	(39,060)	(39,058)	(39,060)
Change in Other Non-Current Assets	1,962	(10,801)	6,738	(1,191)	(318)	524	(282)	(924)	(1,259)	(1,517)	(1,756)
Cash Flow from Investing	**(49,846)**	**(47,283)**	**(37,483)**	**(43,957)**	**(37,809)**	**(35,479)**	**(37,041)**	**(39,484)**	**(40,320)**	**(40,576)**	**(40,815)**
Net Change in Debt	13,378	3,616	(6,037)	5,083	8,744	(276)	-	0	-	(0)	-
Change in Capital	639	14,412	(3,447)	756	(564)	-	-	-	-	-	-
Dividends	(17,804)	(14,662)	(13,443)	(18,016)	(17,157)	(19,376)	(22,201)	(25,143)	(25,744)	(27,509)	(29,207)
Other Changes	4,459	(270)	(1,434)	1,814	143	587	902	1,018	982	1,040	1,051
Cash Flow from Financing	**672**	**3,096**	**(24,361)**	**(10,363)**	**(8,834)**	**(19,065)**	**(21,299)**	**(24,125)**	**(24,763)**	**(26,469)**	**(28,155)**
Net Cash Flow	**2,347**	**17,722**	**(6,364)**	**(2,940)**	**4,898**	**(38)**	**1,317**	**162**	**571**	**1,065**	**1,921**
Beginning Cash	18,242	20,589	38,311	31,947	29,007	33,905	33,867	35,185	35,347	35,917	36,983
Ending Cash	20,589	38,311	31,947	29,007	33,905	33,867	35,185	35,347	35,917	36,983	38,904

Appendix 5. Key Forecast Drivers

Key Forecasts Drivers	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Revenue											
Telkomsel's Subs	169.5	176.0	156.8	159.3	159.4	157.3	156.5	156.7	156.9	157.1	157.3
Data Yield	6.5	4.9	4.4	4.4	3.8	3.3	3.4	3.4	3.3	3.2	3.1
Data Usage	4.7	6.7	8.2	9.4	10.7	12.3	13.3	14.3	15.3	16.3	17.3
IndiHome's Take Up Rate	26.6%	24.1%	24.9%	26.4%	27.7%	29.5%	30.0%	30.3%	30.5%	30.8%	31.0%
IndiHome's ARPU	246.5	264.0	262.2	266.8	242.2	215.0	200.0	195.0	190.0	185.0	180.0
Third-Party Take Up Rate	-	-	-	-	-	1.0%	5.0%	8.0%	11.0%	14.0%	17.0%
Monthly Lease Rate	-	-	-	-	-	120	120	120	120	120	120
Cost											
O&M to Sales	25.3%	26.6%	25.9%	26.6%	27.5%	27.9%	27.0%	26.1%	26.9%	26.5%	26.0%
Other Opex to Sales	21.8%	20.5%	20.5%	21.4%	22.5%	23.1%	22.6%	22.2%	22.1%	22.1%	22.2%
Effective interest rate	7.7%	6.5%	6.1%	7.1%	7.2%	7.2%	6.9%	6.6%	6.6%	6.6%	6.6%
Capital Expenditure											
Capex per HP	2.8	1.9	6.8	6.4	5.4	5.4	5.6	5.9	5.9	5.9	5.9
Homepassed	30,100	35,680	37,000	38,000	39,000	40,000	41,000	42,000	43,000	44,000	45,000
Total Capex to Sales	25.9%	27.5%	32.0%	31.1%	25.6%	24.4%	23.6%	23.4%	22.9%	22.2%	21.5%

Key Forecasts Drivers	Unit	Rationale
Revenue		
Telkomsel's Subs	Million	We expect a slight churn in FY26-27 from low value subs, will continue to be flat thereafter.
Data Yield	IDR/MB	Betterment in pricing due to market consolidation, visible from 3Q25, churd in FY26-27, naturally easing thereafter.
Data Usage	GB/Month	Increasing data usage from deepening digital lifestyle and high consumption young data-drive demographic.
IndiHome's Take Up Rate	%	Indihome's Take Up Rate will be modest as competition between ISPs intensify.
IndiHome's ARPU	IDR '000/Month	ARPU will be pressured further from increasing competition.
Third-Party Take Up Rate	%	Improve significantly, competing ISPs will choose to use infranexia's fiber cables to further penetrate the FBB market.
Monthly Lease Rate	IDR '000/Month	High-end benchmark wholesale lease fee, due to significant competitive advantage of reach and connectivity.
Cost		
O&M to Sales	%	We expect O&M to sales will decline as minimal cost will be incurred from upcoming topline catalysts.
Other Opex to Sales	%	Same as above, we see further decline in other opex to sales.
Effective interest rate	%	Effective interest rate will fall as benchmark rate decline and refinance debt at a lower rate.
Capital Expenditure		
Capex per HP	IDR Million	Capex per HP will increase as it approaches lower household densities.
Homepassed	'000	1mn Homepass annually as density decreases.
Total Capex to Sales	%	Lower need for aggressive capex coupled with disciplined capital deployment in the upcoming years

Appendix 6. Key Ratios

Key Ratios	FY20	FY21	FY22	FY23	FY24	FY25F	FY26F	FY27F	FY28F	FY29F	FY30F
Highlight											
EV/EBITDA	5.0	5.0	5.8	5.5	4.8	5.3	4.9	4.5	4.4	4.2	4.0
P/E	15.5	16.3	15.8	15.3	13.8	16.0	13.9	12.3	12.0	11.2	10.6
P/BV	2.6	2.4	2.8	2.5	2.0	2.1	2.1	2.0	2.0	2.0	1.9
Per Share											
Core EPS (Rp)	207	213	272	253	233	217	249	282	289	309	328
BVPS (Rp)	1,220	1,468	1,507	1,580	1,640	1,662	1,687	1,715	1,744	1,775	1,808
DPS (Rp)	168	150	168	179	212	196	224	254	260	278	295
Growth											
Revenue	0.7%	4.9%	2.9%	1.3%	0.5%	-1.7%	5.8%	5.5%	3.5%	3.5%	3.2%
EBITDA - Core	11.2%	5.1%	4.3%	-1.8%	-3.3%	-3.7%	8.8%	8.1%	2.0%	4.5%	4.1%
EBIT - Core	3.7%	1.7%	4.2%	-1.8%	-5.6%	-7.7%	14.0%	12.1%	1.5%	5.8%	5.2%
NPATMI - Core	14.3%	3.0%	27.5%	-6.8%	-8.2%	-6.6%	14.6%	13.3%	2.4%	6.9%	6.2%
Profitability											
EBITDA Margin - Core	52.8%	52.9%	53.6%	52.0%	50.0%	49.0%	50.4%	51.7%	50.9%	51.4%	51.9%
EBITMargin - Core	31.6%	30.7%	31.0%	30.1%	28.3%	26.5%	28.6%	30.4%	29.8%	30.4%	31.0%
NPATMI Margin - Core	15.0%	14.7%	18.3%	16.8%	15.4%	14.6%	15.8%	17.0%	16.8%	17.3%	17.8%
ROE	16.9%	14.5%	18.0%	16.0%	14.2%	13.2%	14.9%	16.6%	16.7%	17.5%	18.3%
ROA	8.3%	7.6%	9.8%	8.7%	7.7%	7.2%	8.1%	9.0%	9.0%	9.5%	9.9%
ROIC	17.7%	15.9%	16.4%	15.8%	13.9%	12.7%	14.3%	15.9%	15.9%	16.7%	17.3%
Liquidity											
Current Ratio	0.7	0.9	0.8	0.8	0.8	0.8	0.8	0.8	0.8	0.9	0.9
Cash Ratio	0.3	0.6	0.5	0.4	0.4	0.4	0.5	0.4	0.4	0.4	0.5
Leverage											
Debt to Equity	0.5	0.5	0.4	0.4	0.5	0.5	0.5	0.5	0.4	0.4	0.4
Net Debt to Equity	0.4	0.2	0.2	0.2	0.3	0.3	0.2	0.2	0.2	0.2	0.2
Debt to EBITDA	0.9	0.9	0.8	0.9	1.0	1.1	1.0	0.9	0.9	0.8	0.8
Net Debt to EBITDA	0.6	0.4	0.4	0.5	0.6	0.6	0.5	0.5	0.5	0.4	0.4
Days											
Receivables Days	30.3	21.7	21.4	26.1	29.7	30.0	30.0	30.0	30.0	30.0	30.0
Inventories Days	5.6	4.2	6.1	5.1	5.3	5.3	5.2	5.4	5.3	5.3	5.3
Payables Days	96.4	92.9	98.6	94.8	74.7	75.0	75.0	75.0	75.0	75.0	75.0
Cash Conversion Cycles	(60.5)	(67.0)	(71.1)	(63.6)	(39.7)	(39.7)	(39.8)	(39.6)	(39.7)	(39.7)	(39.7)

Appendix 7. WACC & Terminal Growth

WACC - Telkomsel	
Equity	30,988
Debt	5,900
Cost of debt	6.4%
Tax rate	22%
After tax cost of debt	**5.0%**
Risk free rate	6.1%
Equity risk premium	6.9%
Beta - TLKM	1.11
Cost of equity	**13.8%**
WACC	**12.3%**

WACC - Infranexia	
Target equity ratio	60%
Target debt ratio	40%
Cost of debt	7.2%
Tax rate	22%
After tax cost of debt	**5.6%**
Risk free rate	6.1%
Equity risk premium	6.9%
Beta - TLKM	1.11
Cost of equity	**13.8%**
WACC	**10.5%**

WACC - Mitratel	
Equity	50,411
Debt	22,243
Cost of debt	7.0%
Tax rate	22%
After tax cost of debt	**5.1%**
Risk free rate	6.1%
Equity risk premium	6.9%
Beta	0.66
Cost of equity	**10.7%**
WACC	**8.8%**

WACC. We compute WACC separately for Telkomsel, Infranexia, and Mitratel. Across all entities, we apply consistent macro assumptions: 1) 6.1% risk-free rate (10Y gov. bond yield), 2) 6.9% equity risk premium (Damodaran), and 3) 22% corporate tax rate. For beta, we apply TLKM's beta of 1.11 to both Telkomsel and Infranexia, while using Mitratel's standalone beta of 0.66; both are derived from a 5-year regression against the JCI. For the cost of debt, we use each entity's FY24 effective interest rate for Telkomsel and Mitratel, while adopting TLKM's FY24 effective interest rate as a benchmark for Infranexia.

Long-term Growth. We apply a terminal growth rate of 2.5% for both Telkomsel and Mitratel, anchored to long-term inflation rate and reflecting the saturation of mobile segment. For Infranexia, we apply a higher 5.0% terminal growth rate, derived from a long-term GDP growth rate as FBB remains unpenetrated and provides a longer runway beyond our forecasting period.

Appendix 8. Multiple Pricing

Company	FY25					FY26					FY27				
	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue
PT Telkom Indonesia Tbk (TLKM)	**16.1**	**2.5**	**5.7**	**10.4**	**2.8**	**15.1**	**2.4**	**5.5**	**9.8**	**2.8**	**14.3**	**2.4**	**5.3**	**9.4**	**2.7**
PT XL Axiata Tbk (EXCL)	-	1.4	5.7	47.1	2.6	43.9	1.3	5.0	20.4	2.4	15.6	1.3	4.6	13.7	2.3
PT Indosat Tbk (ISAT)	14.7	2.0	4.7	11.8	2.2	12.8	1.9	4.5	10.8	2.1	11.4	1.7	4.2	10.0	2.0
Advanced Info Service PCL (ADVANC)	21.2	9.0	9.3	18.4	5.0	19.4	8.5	9.0	17.2	4.9	18.3	8.1	8.7	16.3	4.8
CelcomDigi Berhad (CDB)	23.1	2.4	9.0	18.2	4.1	21.1	2.4	8.7	16.9	4.0	19.2	2.5	8.5	15.9	3.9
Axiata Group Berhad (AXIATA)	45.9	1.2	6.4	19.0	2.9	37.1	1.2	6.8	19.3	3.1	27.9	1.2	6.8	18.5	3.1
Globe Telecom, Inc. (GLO)	11.3	1.3	6.7	16.9	3.2	10.2	1.3	6.5	16.2	3.2	9.2	1.2	6.3	15.5	3.0
Maxis Berhad (MAXIS)	21.2	5.3	9.5	16.3	3.8	20.2	5.1	9.4	15.8	3.7	19.5	5.0	9.2	15.5	3.6
PLDT Inc. (TEL)	8.0	2.2	5.7	11.1	2.8	7.7	2.0	5.5	10.6	2.8	7.4	1.8	5.4	10.1	2.7
True Corporation PCL (TRUE)	23.6	4.9	7.8	21.6	4.1	18.5	4.0	7.3	19.3	4.1	17.1	3.5	7.2	17.7	4.0
Taiwan Mobile Co., Ltd. (3045)	22.3	3.8	11.4	23.3	2.4	21.0	3.8	11.1	22.2	2.3	20.8	3.8	11.6	21.8	2.3
Mean (ex: TLKM)	**21.3**	**3.3**	**7.6**	**20.4**	**3.3**	**21.2**	**3.1**	**7.4**	**16.9**	**3.3**	**16.6**	**3.0**	**7.2**	**15.5**	**3.2**
Median (ex: TLKM)	**21.2**	**2.3**	**7.2**	**18.3**	**3.1**	**19.8**	**2.2**	**7.0**	**17.1**	**3.1**	**17.7**	**2.1**	**7.0**	**15.7**	**3.1**

Implied Multiple	FY25					FY26					FY27				
	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue
Quartile 3	23.3	5.0	9.4	22.0	4.1	25.1	4.3	9.1	19.6	4.0	19.8	4.1	8.9	17.9	4.0
Quartile 2 - Median	21.2	2.3	7.2	18.3	3.1	19.8	2.2	7.0	17.1	3.1	17.7	2.1	7.0	15.7	3.1
Quartile 1	13.0	1.3	5.7	15.2	2.5	12.2	1.3	5.4	14.6	2.4	10.8	1.2	5.2	12.8	2.3
Mean	21.3	3.3	7.6	20.4	3.3	21.2	3.1	7.4	16.9	3.3	16.6	3.0	7.2	15.5	3.2

Implied Price - Rounded	FY25					FY26					FY27				
	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue	P/E	P/BV	EV/EBITDA	EV/EBIT	EV/Revenue
Quartile 3	5,050	8,350	6,200	8,050	5,400	6,250	7,250	6,550	8,200	5,700	5,600	7,000	6,950	8,400	5,950
Quartile 2 - Median	4,600	3,850	4,650	6,600	3,950	4,950	3,750	4,950	7,050	4,300	5,000	3,600	5,350	7,300	4,500
Quartile 1	2,800	2,250	3,500	5,350	3,150	3,050	2,200	3,650	5,950	3,100	3,050	2,150	3,800	5,850	3,200
Mean	4,600	5,550	4,900	7,400	4,300	5,300	5,300	5,200	6,950	4,500	4,700	5,150	5,600	7,200	4,650

Appendix 9. EV/EBITDA Multiple

EV/EBITDA Peer Multiples	Ticker	2020	2021	2022	2023	2024
PT XL Axiata Tbk	EXCL	4.6	5.0	4.7	4.5	4.2
PT Indosat Tbk	ISAT	4.4	4.7	5.0	5.3	5.0
Advanced Info Service PCL	ADVANC	8.0	10.1	8.5	10.0	9.8
CelcomDigi Berhad	CDB	12.3	12.8	20.1	10.3	9.6
Axiata Group Berhad	AXIATA	5.6	7.9	9.3	6.8	5.3
Globe Telecom, Inc.	GLO	5.8	8.6	7.3	6.9	7.5
Maxis Berhad	MAXIS	13.0	12.2	10.0	10.4	9.1
PLDT Inc.	TEL	5.2	6.2	5.4	5.7	5.6
True Corporation PCL	TRUE	-	-	-	10.4	8.8
Taiwan Mobile Co., Ltd.	3045	12.8	12.3	11.4	12.1	11.7
Peer Median		**5.7**	**8.3**	**7.9**	**8.5**	**8.2**
Peer Weighted Avg.		**7.6**	**8.6**	**8.6**	**9.3**	**8.7**
PT Telkom Indonesia Tbk	TLKM	5.4	6.0	5.4	5.8	4.4
Premium/discount to peer avg.		**-29.3%**	**-30.2%**	**-36.9%**	**-38.0%**	**-49.7%**

EV/EBITDA Multiples Pricing	Bear Case	Base Case	Bull Case
Average historical disc.	-36.8%	-36.8%	-36.8%
EV/EBITDA peer average (FY26F)	8.2	8.2	8.2
Disc. Implied	-36.8%	-24.5%	-18.4%
Target EV/EBITDA	5.2	6.2	6.7
EBITDA FY26F	78,624	78,624	78,624
Net debt	41,407	41,407	41,407
Minority Interest	20,396	20,396	20,396
Equity value	344,537	423,441	462,893
Implied target price	3,500	4,250	4,650
Upside/downside	**1%**	**22%**	**34%**

SOE - EV/EBITDA Multiples	Ticker	2020	2021	2022	2023	2024	2025F	2026F	2027F
Telekom Malaysia (T MK)	T MK	5.4	6.5	5.7	5.1	5.3	6.9	6.7	6.6
Chunghwa Telecom (2412 TT)	2412 TT	4.9	11.2	10.9	10.2	10.8	11.5	11.2	10.8
China Tower Corp (788 HK)	788 HK	11.0	4.6	3.4	3.2	3.5	4.3	4.2	4.1
KT Corp (030200 KS)	030200 KS	2.8	2.5	2.9	3.6	3.2	3.3	3.6	3.5
Spark New Zealand (SPK NZ)	SPK NZ	9.4	9.6	9.5	10.0	9.3	6.2	6.2	6.2
China Unicom HK (762 HK)	762 HK	2.3	1.0	0.6	1.0	1.0	2.4	2.4	2.4
PCCW Ltd (8 HK)	8 HK	8.4	9.1	7.2	7.3	7.9	7.8	7.4	7.1
Peer Median		**5.4**	**6.5**	**5.7**	**5.1**	**5.3**	**6.2**	**6.2**	**6.2**
Peer Average		**6.3**	**6.4**	**5.7**	**5.8**	**5.9**	**6.1**	**6.0**	**5.8**
Non-SOE Weighted Average		**7.6**	**8.6**	**8.6**	**9.3**	**8.7**	**7.6**	**7.4**	**7.2**
Disc. To Non-SOE		-12%	-20%	-30%	-30%	-24%	-20%	-19%	-20%

Appendix 10. Telkomsel, Infranexia, and Mitratel Free Cash Flow

Telkomsel - FCFF	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Operating profit or EBIT	**31,210**	**29,688**	**29,464**	**30,366**	**29,457**	26,311	31,090	35,065	34,716	36,160	37,406
EBIT (1-Tax)	24,792	23,437	22,435	23,646	23,698	**20,523**	**24,250**	**27,351**	**27,078**	**28,205**	**29,176**
Depreciation & Amortization	19,884	20,333	21,024	21,712	21,880	21,228	21,801	22,527	23,061	23,684	24,291
Change in WC	405	141	1,333	4,663	(1,986)	(63)	646	611	772	508	487
Capital expenditure	(39,976)	(17,730)	(23,638)	(26,261)	(26,902)	(22,670)	(23,164)	(24,867)	(24,723)	(24,983)	(25,226)
Unlevered FCF	**5,105**	**26,181**	**21,154**	**23,760**	**16,690**	**19,017**	**23,533**	**25,622**	**26,189**	**27,414**	**28,728**

Infranexia - FCFF	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Operating profit or EBIT						4,060	5,585	7,260	8,732	10,264	11,850
EBIT (1-Tax)						3,167	4,356	5,663	6,811	8,006	9,243
Depreciation & Amortization						5,940	6,109	6,287	6,459	6,628	6,796
Change in WC						0	0	0	0	0	0
Capital expenditure						(5,358)	(5,626)	(5,923)	(5,923)	(5,923)	(5,923)
Unlevered FCF						**3,748**	**4,839**	**6,027**	**7,348**	**8,711**	**10,117**

Mitratel - FCFF	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Operating profit or EBIT	**1,698**	**2,740**	**3,153**	**3,678**	**4,179**	4,662	5,003	5,399	5,755	6,115	6,488
EBIT (1-Tax)	1,151	1,972	2,328	2,699	2,977	**3,385**	**3,640**	**3,914**	**4,159**	**4,435**	**4,705**
Depreciation & Amortization	2,487	2,445	2,989	3,306	3,517	3,524	3,641	3,726	3,805	3,892	3,981
Change in WC	208	428	686	(365)	(503)	(147)	(49)	(68)	(58)	(58)	(60)
Capital expenditure	(9,042)	(16,506)	(14,340)	(8,620)	(4,892)	(3,716)	(3,721)	(3,568)	(3,644)	(3,648)	(3,637)
Unlevered FCF	**(5,196)**	**(11,662)**	**(8,337)**	**(2,980)**	**1,098**	**3,046**	**3,511**	**4,004**	**4,261**	**4,622**	**4,989**

Appendix 11. Fiber Network Capital Expenditure Forecast

FBB Capex	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Homepassed Net Additions ('000)	3,500	5,580	1,320	1,000	1,000	1,000	1,000	1,000	1,000	1,000	1,000
HP/Km	80.6	120.2	32.9	35.0	41.6	42	40	38	38	38	38
Fiber built ('000 Km)	43.4	46.4	40.2	28.6	24.1	23.8	25.0	26.3	26.3	26.3	26.3
Capex per Km (IDR Mn)	225	225	225	225	225	225	225	225	225	225	225
Total Capex (IDR Bn)	**9,770**	**10,444**	**9,038**	**6,434**	**5,413**	5,358	5,626	5,923	5,923	5,923	5,923
Capex per HP (IDR Mn)	**2.8**	**1.9**	**6.8**	**6.4**	**5.4**	**5.4**	**5.6**	**5.9**	**5.9**	**5.9**	**5.9**

Appendix 12. Divestment Calculation

Revenue (FY24)	Numbers
Enterprise segment	**4,599**
E-payment	1,286
Call center service	1,255
E-health	767
Others	1,291
Others segment	**1,078**
Total Revenue	**5,677**

Net profit (FY24)	Numbers
NPM Enterprise segment	-1.4%
NPM Others segment	-80.1%
Net loss Enterprise	(863)
Net loss Others	(62)
Total Net loss	**(926)**
Total Cost Savings	**6,603**

Landbank & Property	Numbers
Total net asset value	15,427
Fair value	50,000
Property area (sqm)	2,500,000
Utilization rate	50%
Non-productive net asset value	7,714
Non-productive fair value	**25,000**

Potential ROE Uplift	Numbers
Total assets divested	51,909
Book value divested	24,754
Book value before divestment	179,066
Book value after divestment	154,312
ROE before divestment	18.3%
ROE after divestment	21.6%
Total ROE Uplift (bps)	**350**

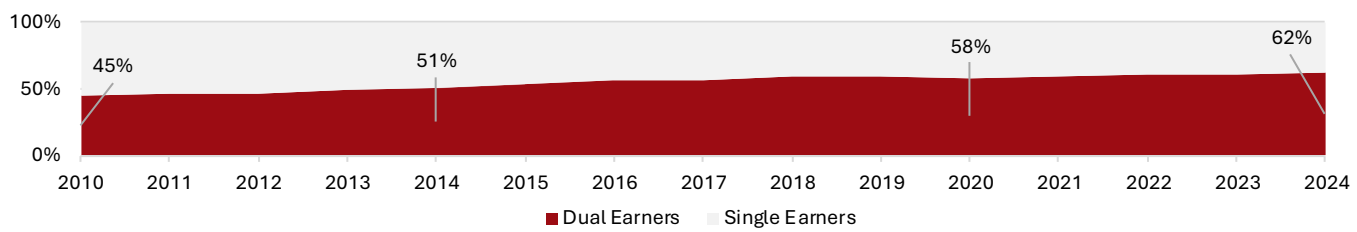
Potential NPM Uplift	Numbers
Revenue before divestment	181,880
Revenue before divestment	176,203
Net profit before divestment	32,452
Net profit after divestment	33,377
NPM before divestment	17.8%
NPM after divestment	18.9%
Total NPM Uplift (bps)	**110**

Non Core Business	Numbers
D/E Assumption	0.47
Equity to Assets	0.68
Equity value of assets	17,041
Target P/BV multiple (x)	1.2
Transaction value	**20,449**

Non Core Business	Total Assets Standalone (IDR Bn)	Ownership (%)	Effective Assets
PT Multimedia Nusantara ('Metra')	2,270	100	2,270
PT Metra-Net ('Metra-Net')	530	100	530
PT Graha Sarana Duta ('GSD')	2,652	100	2,652
PT Metra Digital Investama Ventura ('MDI')	9,150	100	9,150
PT Telkom Landmark Tower ('TLT')	2,239	55	1,231
PT Digital Aplikasi Solusi ('Digiserve')	433	100	433
PT Infomedia Nusantara ('Infomedia')	2,237	100	2,237
PT Nuon Digital Indonesia ('Nuon')	1,723	100	1,723
PT Finnet Indonesia ('Finnet')	1,493	60	896
PT Telkomsel Mitra Inovasi ('TMI')	1,004	100	1,004
PT Administrasi Medika ('Ad Medika')	784	100	784
PT Swadharma Sarana Informatika ('SSI')	387	51	197
PT Telkomsel Ekosistem Digital ('TED')	366	100	366
PT Metra Digital Media ('MD Media')	780	100	780
PT Nusantara Sukses Investasi ('NSI')	289	100	289
PT Graha Yasa Selaras ('GYS')	277	51	141
PT Metra TV ('Metra TV')	240	100	240
PT Metraplasa ('Metraplasa')	29	60	17
PT Pojok Celebes Mandiri ('PCM')	26	100	26

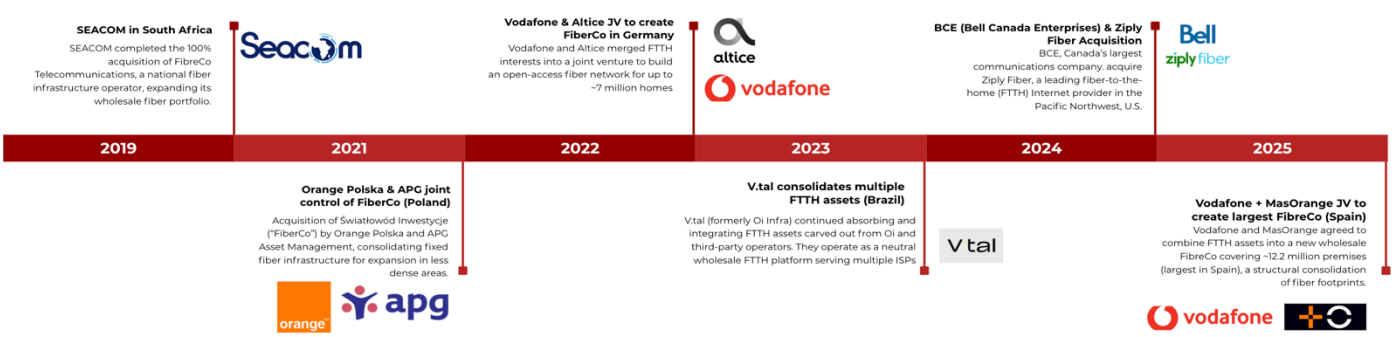
Divestment value	Numbers
Non-core business	20,449
Property & landbank	25,000
Total divestment value	45,449
Assumption divestment settled in FY26F	33%
Divestment value in FY26F	**15,150**

Appendix 13. Indonesia Income Dual Earners



Source: ITU, Globaldata, Company Website, Team Analysis

Appendix 14. Global FiberCo Consolidation Precedents



Global precedents show that fragmented FTTH markets tend to evolve toward FiberCo consolidation, as operators seek scale, capex efficiency, and monetization of passive infrastructure. Since 2019, major telcos globally have pursued FiberCo acquisitions or JV structures—such **as V.tal in Brazil, Vodafone–Altice and Vodafone–MasOrange in Europe**, and **BCE's acquisition of Ziply Fiber in North America**—resulting in centralized wholesale fiber platforms, improved network utilization, and structurally stronger economics. **We believe TLKM could pursue a similar consolidation strategy through FiberCo acquisitions, in line with this global trend to improve industry efficiency.**

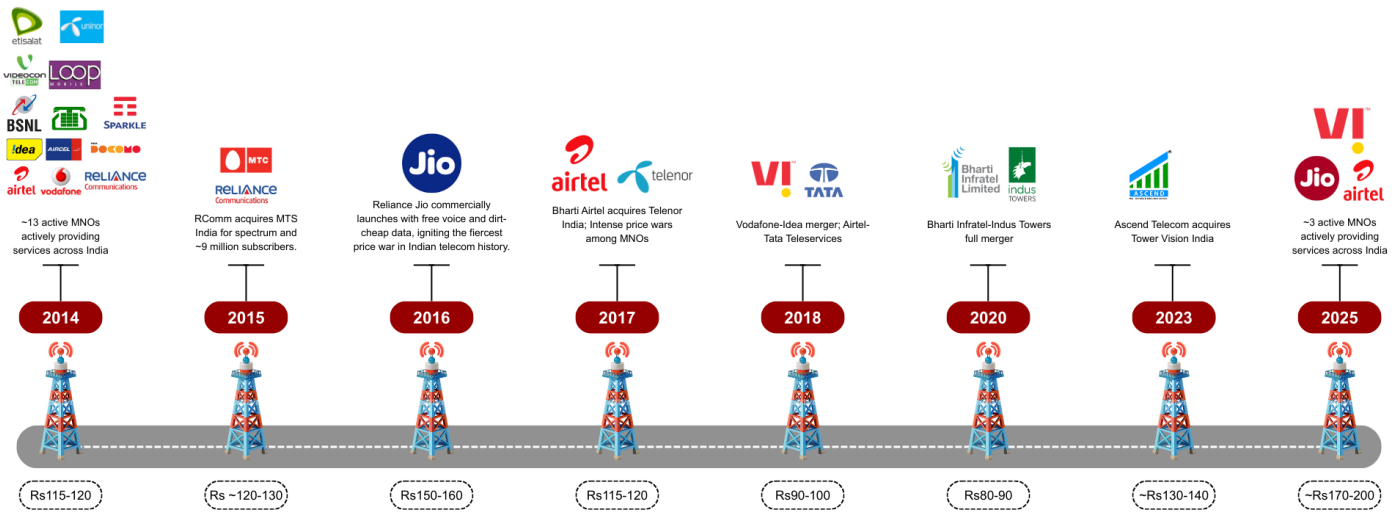
Source: Team Analysis

Appendix 15. Comparison of Ministry of SOEs and Danantara's KPI

Dimension	Ministry of SOEs KPI Orientation	Danantara KPI Orientation	What Changes for SOEs
Owner role & KPI anchor	Performance managed via Perjanjian Kinerja (PK) and SS/IKU; SOE directors assessed through Kontrak Manajemen.	Acts as SOE value-unlock orchestrator via DAM (operations) and DIM (investments); KPIs centered on value creation and dividend allocation.	KPI focus shifts from policy scorecards to portfolio-level metrics (ROE uplift, capital efficiency, restructuring outcomes).
Capital allocation KPI	Annual targets in Kontrak Manajemen, evaluated in RUPS context.	Centralized capital allocation; SOE dividends split between transformation (DAM) and investments (DIM).	Stronger KPI pressure on ROIC/ROE and portfolio actions (spin-offs, JVs, divestments)
Governance & incentives	Governance KPIs guided by policy and technical rules.	Commissioner tantiem removed; director incentives tied only to audited, sustainable results.	Higher accountability, reduced conflicts of interest, stronger board independence.
Restructuring / turnaround	Part of broader policy agenda; often constrained by social/political mandates.	Active turnaround role with capital support + performance-driven oversight.	Restructuring becomes a core KPI (profitability recovery, deleveraging, governance fixes).
Value unlock (spin-offs / divestments)	Corporate actions approved/steered by ministry; value unlock not primary KPI.	Explicit value-unlock mandate via spin-offs, divestments, and partnerships.	Clear KPIs on monetization execution and post-transaction return uplift.
Strategic partnerships	Measured mainly by project delivery and policy alignment.	Danantara likely facilitates alliances with domestic/global investors to inject capital and expertise (e.g., TLKM data center).	KPI shifts to partnering effectiveness (capital raised, speed-to-scale, capability transfer).
Shareholder Return	Primarily through ordinary dividends based on profitability and state needs; TSR not a core focus.	Explicit emphasis on Total Shareholder Return (TSR), including book value growth plus dividends; targets higher dividend yields via performance improvements.	Greater focus on TSR as a key metric, with potential for enhanced dividends, value unlocking proceeds recycled to shareholders, and stronger alignment with minority investor returns.
TLKM-specific monetization	KPIs balance service obligations and financial results.	TLKM framed as key monetization candidate (fiber/TIF, data centers) to lift ROE and valuation.	KPI emphasis on asset monetization delivery, ROE uplift, and standalone valuation transparency.

Source: LKIP BUMN 2023, BPK, Danantara, Team Analysis

Appendix 16. India Historical ARPU and Major Consolidation Events



India's mobile telecom market was once highly fragmented, with more than ten MNOs competing aggressively. Jio's entry in 2016 with free voice and ultra-cheap data triggered a major price war that cut industry ARPU by about 49%, forcing rapid consolidation down to three players. As the market stabilized and purchasing power improved, ARPU started to recover. **We believe Indonesia could follow a similar path, where ongoing telco consolidation—supported by future infraco consolidation and rising purchasing power—can help lift ARPU going forward.**

Appendix 17. Government's Social Spendings Breakdown

IDR tn	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25F	2024	2025
Family Hope Cash Transfer (PKH)		7.3				5.8	1.2		5.6			6.7	28.6	26.6
Food Aid Cash Transfer/ Staples Card	4.1	6.3	0.5			15		10		7.5	4.2		45	47.6
Others social spending		8.2	12.5	4.7	5.2	8.4	5.9	8.2	6	5.6	7.6	7.7	79.8	80
Total social spending	4.1	21.8	13	4.7	5.2	29.2	7.1	18.2	11.6	13.1	11.8	14.4	153.3	154.2
Village Fund Cash Transfer	1	1	1	1	1	1	1	1	1	1	1	1	10.7	12
Rice Aid	2.3	2.3				2.3	2.3			3.5	3.5		28.5	16.2
Electricity Discount	6.8	6.8												13.6
Additional Food Aid Cash Transfer						3.7	3.7							7.4
Wage subsidy						5.4	5.4							10.8
Cash-for-Work Program									1.3	1.3	1.3	1.3		5.2
Cash transfer (New Oct-Dec 2025)										10	10	10		30
Total social spending + ad-hoc program	14.2	31.9	14	5.7	6.2	41.5	19.5	19.2	13.9	28.9	27.6	26.7	192.5	249.3

Appendix 18. FTTH vs FWA Comparison

Aspect	FTTH (Fiber to the Home)	FWA (Fixed Wireless Access)
Technology	Fiber-optic cable directly connected to the customer's premises	Wireless connection using 4G/5G cellular networks via a fixed receiver
Connection Medium	Physical fiber-optic cable	Radio spectrum (cellular signal)
Typical Download Speed	Indonesian FTTH routinely offers 50–300 Mbps, making FTTH is ~3× faster than FWA at the upper end.	50–100 Mbps realistic throughput
Latency	Very low latency, ideal for high-performance gaming, video conferencing, and other real-time needs. (~2-10ms)	Moderate, suitable for gaming, video calls, and other real-time applications. (~20-40ms)

Stability	Extremely stable, minimally affected by weather or interference from physical obstructions.	Can fluctuate due to signal interference, congestion, or weather
Network Congestion Impact	Minimal (dedicated last-mile connection)	Higher impact during peak usage hours
Installation Time	Longer (requires fiber deployment and civil work)	Fast (no cable installation required)
Infrastructure Cost	High initial CAPEX for operators	Lower CAPEX, uses existing mobile infrastructure
Coverage in Indonesia	Mainly urban and dense residential areas	Wider coverage, including suburban and rural areas

Source: Various Reports, Team Analysis

Appendix 19. Indonesia's FBB Penetration Regression Analysis

	FBB Penetration	Households ('000)	Subscriber (mn)	GDP per Capita ($)
South Korea	96.6%	21,971	21,224	36,256
Singapore	87.5%	1,449	1,268	93,845
Vietnam	82.0%	28,736	23,564	4,717
Japan	71.1%	60,779	43,214	32,424
Thailand	59.0%	25,118	14,820	7,347
Philippines	55.0%	27,502	15,126	3,983
Malaysia	46.8%	9,016	4,219	11,873
Indonesia	22.9%	72,447	16,592	4,926
Myanmar	12.0%	11,687	1,402	1,182
Cambodia	10.0%	4,024	402	2,629
Laos	10.0%	1,432	143	2,305

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.766285038
R Square	0.587192759
Adjusted R Square	0.541325288
Standard Error	9050.825686
Observations	11

We estimate **Indonesia's fixed-broadband (FBB) target penetration using a household-based regression model**.
Indonesia is projected to reach **76.7 million households by FY30F.**
Using a linear model:
Implied Subscribers ('000) = Intercept + Coefficient × Households '000)
Implied Subs = 2,451.68 + (0.4354 × 76,676) = 35.83 million
This yields a target penetration of:
Penetration Rate = Implied Subscribers / Total Households
76.7mn/35.83mn = **~46.7%**

ANOVA

	df	*SS*	*MS*	*F*	*Significance F*
Regression	1	1048702481	1048702481	12.80194315	0.005949511
Residual	9	737257010.3	81917445.59		
Total	10	1785959492			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	2451.676241	3998.185147	0.613197276	0.554923635	-6592.846927	11496.19941	-6592.846927	11496.19941
Households ('000	0.435361499	0.121678003	3.577980317	0.005949511	0.160106733	0.710616264	0.160106733	0.710616264

Source: Team Analysis

Appendix 20. FBB Price Tracker

Provider	10 Mbps	15 Mbps	20 Mbps	30 Mbps	35 Mbps	40 Mbps	50 Mbps	70 Mbps	75 Mbps	100 Mbps	150 Mbps	200 Mbps	250 Mbps	300 Mbps	350 Mbps	500 Mbps	600 Mbps	1000 Mbps
Indihome							**230,000**	**250,000**	**250,000**		**325,000**	**490,000**						
EzNet	170,000						299,000			375,000								
XL Home							229,000			279,000	299,000							
First Media			205,350	243,090			254,190			309,690	331,890	365,190		444,000			555,000	999,000
Indosat Hifi							245,000		275,000					345,000				1,000,000
Iconnect	187,000				239,000		299,000			399,000	699,000		949,000					
Nethome									414,000							116,000		227,000
MyRepublic						260,850				277,500		333,000			444,000			
MNC Play							163,333		183,333					230,000				666,666
CBN Fiber							229,000		339,000	429,000	559,000		799,000			1,399,000		3,999,000
Oxygen.id										523,000	609,000	641,000						
Transvision			269,000	299,000			369,000			569,000								
Megavision	195,000		185,000	274,000			249,000		279,000	325,000								
Biznet							250,000				375,000		575,000	700,000				

Source: Companies' Website, Team Analysis

Appendix 21. Fiber Company Mapping

	B2C Players								B2B Players						
Segment	Telkom	Linknet	MyRepublic	Biznet	Fiber Star	Asianet	XL Axiata	Icon+	Moratelindo	Protelindo	Indosat	Tower Bersama	Mitratel	Lintasarta	Surge
Home	Core (IndiHome)	Core (First Media)	Core (MyRepublic)	Partial (Biznet Home)	Partial (CBN Fiber)	Core (Indosat HiFi)	Partial (XL Home)	Partial (ICONNET)	Partial (oxygen.id)	Initial (Wholesale)	No /Limited	No /Limited	No /Limited	No /Limited	Initial (Wholesale)
Enterprise	Core (incl. DC-DC)	Partial	No /Limited	Core (incl. DC-DC)	Core	No /Limited	Partial	No /Limited	Core (incl. DC-DC)	Partial	Partial	No /Limited	No /Limited	Core	Core
Towers	No /Limited	No /Limited	No /Limited	No /Limited	No /Limited	No /Limited	Core	No /Limited	No /Limited	Core	Core	Core	Core	No /Limited	No /Limited

Source: Companies' Website, Team Analysis

Appendix 22. Comparison of Open Access Fiber Infrastructure: Homepass Coverage, Fiber Length, & Lease Rate

Company	Homepass (FY24)	Fiber (km)	Lease Rate
Infranexia	**39,000,000**	**500,000**	**IDR120,000***
Moratelindo	788,000	56,374	N/A
FiberStar	1,451,081	37,506	N/A
Unifiber by Asianet	1,500,000	30,000	IDR120,000
Linknet Fiber	4,568,673	30,883	IDR100,000
Icon+	3,500,000	323,000	IDR60,000

Source: Companies' Website, Companies' Reports, Team Analysis
**estimated*

Appendix 23. Infranexia – Key Potential ISP Clients and Target Home Connections (2025E–2027E)

Key Potential Clients	2025E-2027E Target
XL Home	2,048,000
MyRepublic	2,000,000
Biznet	900,000
Iconnet	1,500,000
Indosat Hifi	830,000
Oxygen.id	300,000
CBN Fiber	500,000
Starlite	3,000,000
Nethome	500,000

Source: Various Sources, Team Analysis

Appendix 24. Price Tracker

Our analysis of TLKM's mobile package tracker from August to December 2025 shows a steady improvement in data yields, reflecting sustained pricing discipline and a continued focus on ARPU enhancement. In the <IDR50k SIM segment, average yields increased from IDR5.2/MB in August to IDR7.6/MB in December (+45.6%), driven by gradual price increases, quota reductions in some packages, and the complete removal of low-yield "quota ketengan". A similar trend was observed in the >IDR50k segment, where data yields rose from IDR5.6/MB to IDR8.1/MB over the same period (+45.2%). In December, Telkomsel removed the Combo Sakti (30-day validity) packages and introduced larger Super Seru packages with higher prices, shorter 28-day validity periods, and lower yields.

<50k SIM Card

Package Name	Quota (GB)	Package Price (Rp) August 2025	September 2025	October 2025	November 2025	December 2025
Hyper 5G						
Super seru 5G	18					50,000
Super seru 5G	22	-	n/a	60,000	60,000	60,000
Super seru 5G	30	50,000	n/a	75,000	75,000	75,000
Super seru 5G	40	-	n/a	90,000	90,000	90,000
Super seru 5G	45					100,000
Super seru 5G	50	75,000	75,000	n/a	n/a	
Super seru 5G	55	-	n/a	110,000	110,000	110,000
Super seru 5G	70	85,000	85,000	n/a	n/a	
Super seru 5G	90	-	n/a	140,000	140,000	
Super seru 5G	100	100,000	100,000	n/a	n/a	
Super seru 5G	108					200,000
Super seru 5G	110	-	n/a	170,000	170,000	
Super seru 5G	140	-	n/a	200,000	200,000	200,000
OMG! 5G	10	-	35,000	n/a		
OMG! 5G	25	-	50,000	n/a		
OMG! 5G	80	100,000	100,000	n/a		
Internet 5G	8		35,000	35,000	35,000	
Internet 5G	12	-	50,000	50,000	50,000	
Internet 5G	30	-	100,000	100,000	100,000	
Internet 5G	120	-	200,000	200,000	200,000	
Super Seru Special						
Super Seru Special	15	-	35,000	n/a	n/a	
Super Seru Special	20	-	n/a	50,000	50,000	
Super Seru Special	30	-	50,000	n/a	n/a	
Super Seru Special	38	-	n/a	78,000	78,000	
Super Seru Special	50	50,000	n/a	90,000	90,000	
Super Seru Special	58	-	75,000	n/a	n/a	
Super Seru Special	60	-	n/a	100,000	100,000	
Super Seru Special	80	-	90,000	n/a		
Super Seru Special	95	-	100,000	n/a		
Super Seru Promo						
Super Seru Promo	60	-	100,000	100,000	100,000	100,000
Super Seru Promo	8	30,000	30,000	30,000	30,000	32,000
Super Seru Promo	10					35,000
Super Seru Promo	12	42,000	35,000	35,000	35,000	
Super Seru Promo	14					42,000
Super Seru Promo	15	-	n/a	42,000	42,000	
Super Seru Promo	17	50,000	50,000	n/a	n/a	
Super Seru Promo	20	55,000	55,000	50,000	50,000	50,000
Super Seru Promo	22					55,000
Super Seru Promo	25	65,000	65,000	53,000	53,000	
Super Seru Promo	30	75,000	75,000	n/a		
Super Seru Promo	35	80,000	80,000	n/a		
Super Seru Promo	100	125,000	125,000	n/a		
Super Seru Promo	125	-	155,000	n/a		
Super Seru Promo (14 days)	5				19,000	19,000
Super Seru Promo (14 days)	9				25,000	25,000
Super Seru Promo (7 days)	2				10,000	10,000
Super Seru Internet						
Super Seru Internet (7 days)	3	5,000	n/a	15,000	15,000	
Super Seru Internet (14 days)	4	20,000	n/a	4,000	20,000	
Super Seru Internet (14 days)	5	-	15,000	5,000	25,000	
Super Seru Internet	6	-	30,000	n/a	n/a	
Super Seru Internet	7	-	20,000	n/a	n/a	
Super Seru Internet	7,5	-	35,000	n/a	n/a	
Super Seru Internet	9	-	40,000	n/a	n/a	
Super Seru Internet	13	50,000	50,000	13,000	50,000	
Super Seru Internet	28	75,000	75,000	75,000	75,000	
Super Seru Internet	40	95,000	95,000	95,000	95,000	
Super Seru Internet	110	-	n/a	230,000	230,000	
Super Seru Internet	120	-	n/a	250,000	250,000	
Super Seru Internet	130	-	n/a	270,000	270,000	
Super Seru Combo						
Super Seru Combo (7 days)	2	-	n/a	15,000	15,000	15,000
Super Seru Combo (14 days)	3	20,000	n/a	20,000	20,000	20,000
Super Seru Combo	5	-	30,000	n/a	n/a	
Super Seru Combo	6	-	35,000	n/a	n/a	
Super Seru Combo	8	-	40,000	n/a	n/a	
Super Seru Combo	12	50,000	50,000	50,000	50,000	50,000
Super Seru Combo	27	75,000	75,000	75,000	75,000	75,000
Super Seru Combo	35	95,000	95,000	95,000	95,000	95,000
Super Seru Combo	89	-	n/a	230,000	230,000	230,000
Super Seru Combo	100	-	n/a	250,000	250,000	250,000
Super Seru Combo	108	-	n/a	270,000	270,000	270,000
Super Seru Combo	119	-	n/a	290,000	290,000	290,000
Super Seru Combo (7 days)	1				10,000	10,000
Combo Sakti						
Combo Sakti	20	54,000	54,000	55,000	55,000	55,000
Combo Sakti	10	29,000	29,000	35,000	35,000	35,000
Internet OMG / Others						
OMG 5G	25	-	50,000	n/a		
OMG 5G	80	100,000	100,000	n/a		
Internet bulanan	50	-	225,000	n/a	225,000	225,000
Internet bulanan	5	48,000	48,000	48,000	48,000	48,000
Internet bulanan	35	116,000	116,000	116,000	116,000	116,000
Internet bulanan	39	139,000	139,000	n/a	n/a	
Internet bulanan	57	180,000	180,000	n/a	n/a	
Internet bulanan	62	181,000	181,000	n/a	n/a	
Internet bulanan	110	226,000	226,000	226,000	226,000	226,000
Internet bulanan	6				55,000	55,000
Internet bulanan	10				80,000	80,000
Internet bulanan	15				110,000	110,000
Internet bulanan	35				120,000	120,000
Internet bulanan	60				190,000	190,000
Internet bulanan	115				235,000	235,000
OMG Chat	6	51,000	53,700	n/a		
OMG Sosmed	10	76,000	76,000	n/a		
OMG Sosmed	17	101,000	101,000	n/a		
OMG Chat	6	51,000	51,000	n/a		
Internet OMG	36	132,000	132,000	n/a		
Combo Special						
Combo Special	6					13,000
Combo Special	16					35,000

>50k SIM Card

Package Name	Quota (GB)	Package Price August 2025	September 2025	October 2025	November 2025	December 2025
Combo Sakti						
Combo Sakti	18	-		65,000	65,000	
Combo Sakti	20	-	54,000			
Combo Sakti	22	-		70,000	70,000	
Combo Sakti	25	-		75,000	75,000	
Internet OMG / Others						
Internet bulanan	110	226,000		226,000	226,000	226,000
Internet bulanan	39	139,000		139,000	139,000	139,000
Internet bulanan	40	135,000		150,000		
Internet bulanan	100	-		200,000		
Internet bulanan	75	-		250,000		
Internet bulanan	62	181,000	181,000			
Internet bulanan	35	116,000	116,000	116,000	116,000	116,000
Internet bulanan	36	132,000				
Internet bulanan	10	35,000				
Internet bulanan	8	73,000	73,000			
Internet bulanan	7.5	-	73,000			
Internet bulanan	5	48,000	48,000	50,000	48,000	48,000
Hyper 5G						
Super seru	165	-	225,000	225,000		
Super seru	160	-	175,000	175,000		
Super seru	160	-	135,000	135,000		
Super seru	30	-	75,000	75,000	75,000	75,000
Super seru	22	-		60,000	60,000	60,000
Super seru	40	-		90,000	90,000	90,000
Super seru	55	-		110,000	110,000	110,000
Super seru	420	-		525,000		
Super seru	165	-		225,000		
Super seru	8	-		35,000	35,000	35,000
Super seru	12	-		50,000	50,000	
Super seru	30	-		100,000	100,000	
Super seru	120	-		200,000	200,000	
Super seru	18					50,000
Super seru	45					100,000
OMG	170	200				
OMG	120		200,000			
OMG	80	100,000				
OMG	30		100,000			
OMG	25	50,000				
OMG	12		50,000			
OMG	10	35,000				
OMG	8		35,000			
Super Seru Internet						
Super seru	80	85,000	175,000			175,000
Super seru	110					230,000
Super seru	120					250,000
Super seru	130					270,000
Super seru	50					110,000
Super seru	60					130,000
Super seru	185					380,000
Super seru	85	-	190,000			
Super seru	105	-	220,000			
Super seru	18			65,000	65,000	
Super seru	22			70,000	70,000	
Super seru	25			75,000	75,000	
Super seru	28			80,000	80,000	
Super seru	30			85,000	85,000	
Super seru	33					85,000
Super seru	40					95,000
Super seru	13	-	30,000	10,000		
Super seru	7				20,000	
Super seru	10				25,000	
Super seru	13				30,000	
Super Seru Combo						
Super Seru Combo	18			65,000		
Super Seru Combo	22			70,000		
Super Seru Combo	25			75,000		
Super Seru Combo	28			80,000		
Super Seru Combo	30			85,000		
Super Seru Combo	31					85,000
Super Seru Combo	35					95,000
Super Seru Combo	40			100,000		
Super Seru Combo	17				65,000	65,000
Super Seru Combo	21				70,000	70,000
Super Seru Combo	24				75,000	75,000
Super Seru Combo	27				80,000	80,000
Super Seru Combo	29				85,000	
Super Seru Combo	35				100,000	
Super Seru Combo	67	-	175,000			175,000
Super Seru Combo	89					230,000
Super Seru Combo	100					250,000
Super Seru Combo	108					270,000
Super Seru Combo	119					290,000
Super Seru Combo	50					130,000
Super Seru Combo	73	-	190,000			
Super Seru Combo	85	-	220,000			
Super Seru Combo	12	-	30,000			
Super Seru Promo						
Super Seru Promo	17			50,000	50,000	50,000
Super Seru Promo	20	-	55,000	55,000	57,000	55,000
Super Seru Promo	25	-	65,000	65,000	70,000	65,000
Super Seru Promo	30	-	75,000	75,000	80,000	75,000
Super Seru Promo	35	-	80,000	80,000	85,000	85,000
Super Seru Promo	130	-	185,000			
Super Seru Promo	80	-	125,000			
Super Seru Promo	17	-	50,000			
Super Seru Promo	50	-	100,000			100,000
Super Seru Promo	45			100,000	100,000	
Super Seru Promo	60			120,000	120,000	
Super Seru Promo	65					120,000

Source: Company Website, Team Analysis

Appendix 25. ESG Score Breakdown

Source: Company Data, Team Analysis

	Description	Assessment
1	Minimal Effort	No evidence or extremely limited effort to meet the criteria.
2	Very Weak	Only slight evidence of effort with very low achievement in meeting the criteria.
3	Initial Steps	Some evidence of effort and very basic progress toward meeting the criteria.
4	Developing	Partial implementation; progress is observable but still lacks consistency or broad coverage.
5	Industry Average (Low)	Efforts and outcomes generally align with basic industry standards but may lack depth or proactivity.
6	Industry Average (High)	Consistent implementation with practices that meet most industry expectations.
7	Above Average	Demonstrates strong efforts and measurable results, exceeding general industry norms.
8	Excellent	A systematic and well-executed approach with continuous improvement and meaningful ESG outcomes.
9	Leader	Industry leader in ESG practices, with innovative initiatives and a high level of success.
10	Benchmark	Sets the benchmark for ESG performance in the industry, with comprehensive, high-impact, and sustained efforts.

To create a consistent and fair evaluation, we developed our own TLKM ESG scorecard based on LSEG and MSCI criteria, selecting peer benchmarks that best match the environmental, social, and governance characteristics relevant to the industry.

Overall ESG ratings for TLKM are calculated with Environment weighted at 35%, Governance at 40%, and Social at 25%, reflecting the materiality of climate management, data governance, and corporate oversight in the telecommunications industries.

Criteria	TLKM	ISAT	EXCL
GHG Emission	Telkom targets a 20% Scope 1–2 cut by 2030 with 2024 emissions at 2.42 $MtCO_2e$	ISAT has reduced GHG intensity 45.82% since 2020	EXCL advances toward Net Zero 2050 with verified emissions, initial Scope 3, RECs, solar deployment, and a CDP B score.
Carbon Intensity	7	7	5
Renewable Energy Adoption	5	4	6
E-Waste Recycling Rate	7	6	4
Water Usage Efficiency	6	3	4
Disclosure	Telkom provides comprehensive, externally assured sustainability reporting aligned with OJK, GRI, and SASB, including detailed Scope 1–3 disclosures and a standalone climate risk report.	Comprehensive reporting aligned with OJK, GRI, SASB, IFRS, externally assured, and supported by clear ESG governance.	EXCL externally assuring energy and emissions while outlining clear governance and ESG roadmaps.
Timeliness	9	9	9
Environment Score	6.8	5.8	5.6
Digital Inclusion	Telkom delivers ~99% coverage with strong MSME (21,500) and youth (60,000+) empowerment and inclusive services	ISAT drives digital access for 50.9M users with large-scale skills programs (IDCamp, SheHacks)	EXCL expands reach through education, digital-literacy, and inclusive CSR programs, though without quantified beneficiary data.
Digital Inclusion Coverage	8	8	8
Workplace Health & Safety	Telkom shows strong OHS performance with zero fatalities and zero accidents in 2024	ISAT has solid OHS systems but lacks injury-rate disclosure	EXCL follows ISO 45001 with regular training but provides no quantified safety outcomes.
Lost Time Injury Frequency Rate (LTIFR)	9	5	6
Incident Response	8	6	5
Workforce	Telkom's people strategy features 31.96% women employees, 22% women managers, 1:1 pay equity, high engagement (84.41), and extensive wellbeing and training, though disability (0.4%) and digital-talent (20.6%) representation lag targets	ISAT advances DEI with rising female leadership but discloses no satisfaction metrics	EXCL provides structured employee wellbeing programs, training, responsible employment practices, and talent-development initiatives.
Diversity & Inclusion	8	7	6
Employee Satisfaction (Glassdoor)	8	3	5
Data Privacy	Telkom embeds data protection as a material risk with a group-wide PDP framework, zero-breach targets, 100% cybersecurity training completion, full regulatory compliance, and no major incidents reported	ISAT likewise reports zero breaches in 2024 with strengthened PDP Law compliance	EXCL ensures strong data security through ISO 27001/27701 certification and structured customer-protection controls.
Privacy Incidents	8	9	8
Remediation Time	7	2	7
Community Engagement	Telkom invested IDR144.8 billion in 2024 TJSL programs, supporting MSMEs through legalisation, digital training, and market access, and delivering strong impact evidenced by a 1:2.23 SROI for PackFest.	ISAT delivers large-scale community impact through CSR, including 129,192 education beneficiaries, 1,200 mangrove program participants, and 99,818 women empowered via INSPERA.	EXCL contributes through nationwide CSR in education infrastructure, health innovations (e.g., stroke-detection programs), blood-donation drives, and university partnerships for digital-skills development.
Community Investment	8	8	7
Social Score	8.0	6.0	6.5
Board of Directors	Telkom maintains a robust governance structure—RUPS, BoC, and BoD with core committees—supported by a CEO-led Sustainability Committee that embeds formal ESG and climate oversight across the organization.	Board that adheres to GCG principles, receives external governance validation, and actively oversees ESG integration.	Board engagement is strong, reflected in 100% attendance across 59 BoD and 24 BoC meetings.
Independence	9	6	6
Experience	9	6	8
Diversity	6	4	5
Anti-Corruption Policies	Telkom has a mature anti-corruption and supply-chain governance system—ISO 37001–certified across 14 entities with 100% training completion and strong FKAP/risk/audit oversight	ISAT applies strict ethics and screens 58 suppliers but discloses limited training and audit metrics	EXCL enforces comprehensive ABAC policies with 100% policy communication to employees, governance bodies, and suppliers.
% Employees Trained	9	5	10
Number of Incidents	5	8	8
Supply Chain Due Diligence	Telkom's supply-chain governance is reinforced by contractual controls and FKAP/risk/audit oversight	ISAT evaluates 58 suppliers through environmental and social assessments but does not disclose audit coverage	EXCL promotes sustainable, transparent procurement with 90% local vendors.
% of Suppliers Audited	5	5	6
Executive Compensation Linkage	Telkom ties executive pay to strong governance through RUPS-approved policies, clawbacks, and a three-year bonus deferral aligned with SOE rules.	ISAT integrates ESG governance but does not disclose ESG-linked pay.	EXCL evaluates BoD performance via KPIs and notes that executive compensation supports sustainability strategy execution.
% CEO Pay Tied to ESG	5	4	5
Stakeholder Engagement	Telkom has a formal Sustainability Committee, active ESG working groups, a dedicated sustainability unit, and externally assured reporting	ISAT engages stakeholders through FGDs and ESG SteerCo processes without disclosing metrics	EXCL provides detailed stakeholder mapping and conducts an externally supported double materiality assessment approved by the BoD.
Engagement Score	8	6	8

Audit Committee	Telkom reviewed 56 whistleblowing cases in 2024, acted on 82%, and confirmed several violations, demonstrating active oversight.	ISAT's Audit Committee upholds strong GCG principles across reporting, risk, and compliance, though it does not disclose independence or experience metrics.	Governance bodies undergo independent performance evaluations, and board attendance remains 100%, indicating highly engaged oversight.
Independence	7	7	6
Experience	6	7	7
Disclosure	Telkom's sustainability report is externally assured, GRI 2021–aligned, and integrated with strong human-capital and data-governance disclosures	ISAT also provides comprehensive, annually assured reporting aligned with GRI, SASB, and OJK	EXCL's GRI/OJK-aligned report includes a detailed governance index covering structure, nomination, conflicts of interest, impact management, remuneration, grievance channels, and compliance.
Financial Reporting	9	9	9
Human Capital Reporting	7	7	7
Governance Score	7.1	6.2	7.1
Overall Score	**7.21**	**6.0**	**6.42**

Appendix 26. TLKM BOD & BOC PROFILE

Name	Years of Experience	Position	Work Experience
Dian Siswarini	34	President Director	2025-Present: President Director, PT Telkom Indonesia Tbk 2015-2025: President Director & CEO, PT XL Axiata Tbk 2015: Deputy Chief Executive Officer, PT XL Axiata Tbk
Arthur Angelo Syailendra	20	Director of Finance and Risk Management	2025-Present: Director of Finance and Risk Management, PT Telkom Indonesia Tbk Pre-2025: President Director, Bersama Digital Data Centres 2010-2025: Various roles in corporate finance and investment (over 15 years experience)
Veranita Yosephine	29	Director of Enterprise & Business Service	2025-Present: Director of Enterprise & Business Service, PT Telkom Indonesia Tbk 2022-2025: CEO, AirAsia Indonesia 2004-2022: Various leadership roles in consumer goods (sales, marketing, general management; over 18 years)
Nanang Hendarno	34	Director of Network	2025-Present: Director of Network, PT Telkom Indonesia Tbk Pre-2025: CTO, PT Telekomunikasi Indonesia International (Telin) 1992-2025: Various operational and strategic planning roles, PT Telkom Indonesia Tbk
Seno Soemadji	22	Director of Strategic Business Development	2025-Present: Director of Strategic Business Development, PT Telkom Indonesia Tbk Pre-2025: Over 20 years in technology and strategic roles (details not specified in available sources)
Faizal Rochmad Djoemadi	34	Director of Digital IT	2025-Present: Director of Digital IT, PT Telkom Indonesia Tbk 2020-2025: President Director, PT Pos Indonesia (Persero) Pre-2020: President Director, PT Telekomunikasi Indonesia International
Budi Satria Darma	28	Director of Wholesale & International Service	2025–Present: Director of Wholesale & International Services, PT Telkom Indonesia (Persero) Tbk 2021–2025: Chief Executive Officer (CEO), PT Telekomunikasi Indonesia International (Telin) 2018–2021: Chief Commercial Officer (CCO), PT Telekomunikasi Indonesia International (Telin)
Willy Saelan	31	Director of Human Capital Management	2025-Present: Director of Human Capital Management, PT Telkom Indonesia Tbk Pre-2025: Director of Human Resources, Unilever Indonesia Tbk 1995-2025: Various HR roles, Unilever Indonesia Tbk
Andy Kelana	33	Director of Legal & Compliance	2025-Present: Director of Legal & Compliance, PT Telkom Indonesia Tbk 2000-Present: Founding Partner, Adnan Kelana Haryanto & Hermanto 2009-2017: Member of the Board of Directors, PT American Express Indonesia

Name	Years of Experience	Position	Work Experience
Angga Raka Prabowo	17	President Commissioner	2025-Present: President Commissioner, PT Telkom Indonesia Tbk 2025-Present: Head of Government Communication Agency (Kepala Badan Komunikasi Pemerintah) 2024-2025: Vice Minister of Communication and Digital Government, Ministry of Communication and Informatics (Wakil Menteri Komunikasi dan Pemerintahan Digital, Kementerian Kominfo)
Ossy Dermawan	25	Commissioner	2025-Present: Commissioner, PT Telkom Indonesia Tbk 2024-Present: Deputy Minister of Agrarian Affairs and Spatial Planning/National Land Agency (Wakil Menteri Agraria dan Tata Ruang/Badan Pertanahan Nasional, ATR/BPN) Pre-2024: Executive Director (various public sector roles)
Rionald Silaban	35	Commissioner	2025-Present: Commissioner, PT Telkom Indonesia Tbk 2019-Present: Commissioner, PT Bank Mandiri (Persero) Tbk 2022-2025: Director General of State Assets, Ministry of Finance (Direktur Jenderal Kekayaan Negara, Kementerian Keuangan) Pre-2022: Senior Advisor, Ministry of Finance; Chair of BLBI Task Force
Silmy Karim	28	Commissioner	2025-Present: Commissioner, PT Telkom Indonesia Tbk 2024-Present: Vice Minister of Immigration and Correctional Affairs (Wakil Menteri Imigrasi dan Pemasyarakatan) 2023-2024: Director General of Immigration, Ministry of Law and Human Rights (Direktur Jenderal Imigrasi, Kementerian Hukum dan HAM) 2022-2023: President Director, PT Krakatau Steel (Persero) Tbk
Rizal Mallarangeng	25	Commissioner	2025-Present: Independent Commissioner, PT Telkom Indonesia Tbk 2001-2020: Director, Freedom Institute 2004-2005: Senior Advisor to Coordinating Minister for the Economy 1990s-2000s: Various political and advisory roles, Golkar Party; Political Observer and Writer
Deswandhy Agusman	35	Independent Commissioner	2025-Present: Independent Commissioner, PT Telkom Indonesia Tbk Pre-2025: President Commissioner, PT Maybank Indonesia Finance 2010s-2020s: Member, National Committee on Governance (Komite Nasional Kebijakan Governance) 1988-1990: Management Associate – Global Corporate Banking Group, Citibank N.A., Jakarta
Rofikoh Rokhim	26	Independent Commissioner	2025–Present: Independent Commissioner, PT Telkom Indonesia (Persero) Tbk 2017–2025: Independent Commissioner, PT Bank Rakyat Indonesia (Persero) Tbk (BRI) 2010–Present: Professor of Banking and Finance, Department of Management, Faculty of Economics and Business, Universitas Indonesia (UI)
Ira Noviarti	30	Independent Commissioner	2025-Present: Independent Commissioner, PT Telkom Indonesia Tbk 2019-2023: President Director, PT Unilever Indonesia Tbk 2010s-2019: Various senior leadership roles, Unilever Indonesia (e.g., Finance Director, Customer Development Director)

Source: Company Data, Team Analysis